

Remarks

C00694-2026

- Pursuant to the relevant provisions of the Memorandum of Understanding (MOU) By and Between the Philippine Stock Exchange, Inc. (PSE) and the Securities and Exchange Commission (SEC) on the Listing of the PSE Shares on the PSE Trading Board, the Commission has caused the immediate posting of the foregoing disclosure/s in the PSE Electronic Disclosure Generation Technology System (PSE EDGE). This directive is being issued primarily for the purpose of ensuring the timely disclosure of information relating to PSE as a listed company and should not be construed as an approval by the Commission of the item/s being disclosed nor of any of the acts done by the PSE or it intends to do in relation to this disclosure. The PSE shall remain responsible for complying with the other requirements as mandated in the Securities Regulation Code (SRC) and other relevant laws and their respective rules and regulations. This approval is for the purpose of ensuring the immediate posting of the disclosure. Nothing herein precludes the Commission as the statutory regulator of the PSE as a registered exchange, as Self-Regulatory Organization and as an issuer of registered securities, to seek further clarification and/or information and to take appropriate action on the matter, including the imposition of penalty in case of violation of the SRC and its Implementing Rules and Regulations. Finally, the Commission, acting as the Exchange under the MOU, may also impose penalty in case of violation of the relevant PSE Rules.

SECURITIES AND EXCHANGE COMMISSION

SEC FORM 17-C

CURRENT REPORT UNDER SECTION 17 OF THE SECURITIES REGULATION CODE AND SRC RULE 17.2(c) THEREUNDER

1. Date of Report (Date of earliest event reported)
Feb 4, 2026
2. SEC Identification Number
AN092-002557
3. BIR Tax Identification No.
002-333-130
4. Exact name of issuer as specified in its charter
The Philippine Stock Exchange, Inc.
5. Province, country or other jurisdiction of incorporation
Republic of the Philippines
6. Industry Classification Code(SEC Use Only)
7. Address of principal office
6th to 10th Floors, PSE Tower, 5th Avenue corner 28th Street, Bonifacio Global City,
Taguig City
Postal Code
1634

8. Issuer's telephone number, including area code

(632) 88764888

9. Former name or former address, if changed since last report

Not Applicable

10. Securities registered pursuant to Sections 8 and 12 of the SRC or Sections 4 and 8 of the RSA

Title of Each Class	Number of Shares of Common Stock Outstanding and Amount of Debt Outstanding
Common Shares (Fully Paid)	81,957,837
Common Shares (Subscribed)	309,368
Total	82,267,205

11. Indicate the item numbers reported herein

Item No. 9. Other Events

The Exchange does not warrant and holds no responsibility for the veracity of the facts and representations contained in all corporate disclosures, including financial reports. All data contained herein are prepared and submitted by the disclosing party to the Exchange, and are disseminated solely for purposes of information. Any questions on the data contained herein should be addressed directly to the Corporate Information Officer of the disclosing party.



The Philippine Stock Exchange, Inc. PSE

PSE Disclosure Form 5-1 - Substantial Acquisitions **References: SRC Rule 17 (SEC Form 17-C) and** **Section 4.4 and/or Section 5 of the Revised Disclosure Rules**

Subject of the Disclosure

Signing of agreements for the acquisition of Philippine Dealing System Holdings Corp. ("PDSHC")

Reason for the amendment:

Signing and closing of the Agreement in connection with the sale of 8,146 PDSHC shares by the Philippine Deposit Insurance Corporation ("PDIC") and 13, 146 PDSHC shares of PDIC in trust for Export and Industry Bank, Inc. to the Company.

Background/Description of the Disclosure

The Company and the Philippine Deposit Insurance Corporation ("PDIC") signed today an Agreement, pursuant to which the Company agreed to purchase (a) 8,146 common shares of stock in PDSHC owned by PDIC and (b) 13,146 common shares of stock in PDSHC held by PDIC in trust for Export and Industry Bank, Inc. In aggregate, the shares represent 0.34% of PDSHC's total issued and outstanding capital stock. This transaction closed today as well upon the parties' fulfillment of the transaction's closing conditions. The transaction will be subject to customary post-closing conditions.

With the Company's existing 20.98% equity interest in PDSHC and the closing of the transactions with SGX, WTSI, SMC, Golden Astra, FINEX Foundation, IHAP, AIA, BAP and some of its member banks, SSS, Insular Investment Corporation, Citicorp, TCS, Mizuho, MUFG, LandBank and PDIC (for itself and in trust for Export and Industry Bank, Inc.), the Company will beneficially own 94.55% of PDSHC.

Date of Approval by Board of Directors	Nov 27, 2024
Date of Approval by Stockholders	Jul 6, 2024
Other Relevant Regulatory Agency, if applicable	Securities and Exchange Commission
Date of Approval by Relevant Regulatory Agency	Dec 19, 2023

Rationale for the transaction including the benefits which are expected to be accrued to the Issuer as a result of the transaction

These transactions are part of PSE's plan to acquire up to 100% of PDSHC to achieve the following:

- Align the Philippine capital market with other markets globally which have a single exchange structure for fixed income and equities. The transaction results in a vertical integration of the depository function within the same group that operates trading, clearing and settlement of listed securities.
- Provide investors with a facility to trade fixed income, equities, and other products in a unified marketplace.
- Provide a single venue in the Philippines for listing and capital-raising, thereby making it easier for companies to tap both equities and debt markets.
- Enhance risk management and achieve operational efficiencies in securities trading, depository, clearing and settlement.
- Enable PSE to develop new products and services (e.g. derivatives) in light of the operational efficiencies and synergies expected to result from the vertical integration.
- Achieve a more efficient integrated market surveillance and monitoring for both equities and fixed income markets for investor protection.

Description of the transaction including the timetable for implementation and related regulatory requirements, if any

The transaction is subject to customary closing conditions such as the execution of definitive agreements, required corporate approvals, and delivery of closing certificates.

Identities of the parties to the transaction

Name	Nature of Business	Nature of any material relationship with the Issuer, their directors/officers or any of their affiliates
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Bankers Association of the Philippines (“BAP”), for itself and on behalf of BAP Data Exchange, Inc. and certain member-banks	Association of universal and commercial banks and authorized representative of individual bank shareholders of PDSHC	None
Singapore Exchange Limited	Securities exchange	None
Whistler Technologies Services, Inc.	IT services	None
San Miguel Corporation	Operates in the food, beverage, packing, fuel, oil, energy, infrastructure and banking industries	Strategic stockholder of the Company, with board seat
Investment House Association of the Philippines (“IHAP”	A non-stock non-profit organization composed of investment houses	None
Golden Astra Capital, Inc.	Investment company	None
Mizuho Bank, Ltd.	Banking	None
FINEX Research and Development Foundation	Research, development, and improvement in the various fields of financial and business management	None
AIA Philippines Life and General Insurance Company Inc.	Insurance company	None
Social Security System	Pension Fund	None
Insular Investment Corporation	Investment Corporation	None
Citicorp Capital Philippines, Inc.	Banking	None
Tata Consultancy Services Asia Pacific PTE. LTD.	IT services	None
MUFG Bank, LTD.	Banking	None
Land Bank of the Philippines	Banking	None
Philippine Deposit Insurance Corporation (“PDIC”) and PDIC in trust for Export and Industry Bank, Inc.	Deposit Insurance	None

Terms and conditions of the transaction

The nature and amount of consideration (e.g. price per share, the aggregate amount)

Php600.00 per share or a total purchase price of Php2,761,930,200.00 for all the above-named Sellers.

Basis upon which the amount of consideration or value of the transaction was determined

Based on PDSHC’s enterprise value of Php3.75 Billion.

The number of shares to be acquired	4,603,217 common shares of PDSHC
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Ratio/percentage to total outstanding capital stock	73.65
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Terms of payment

Payable in full upon fulfillment of closing conditions by the transacting parties.

Conditions precedent to closing of the transaction, if any

Closing is subject to the customary closing conditions such as signing of definitive agreements, the required corporate approvals, and delivery of closing certificates.

Description of the company subject of the transaction**Nature and business**

PDSHC is a holding company formed for the purpose of investing in or holding shares of stock in exchange as well as in one or more corporations which provides depository, registry, clearing, settlement, custody, securities borrowing and lending, information technology and other support services for the exchanges or for the other exchanges of securities or monetary transactions or platforms.

Discussion of major projects and investments

N/A

List of subsidiaries and affiliates, with percentage holdings

Name	% Ownership	
Philippine Dealing & Exchange Corp. (PDEX)	100	
Philippine Depository & Trust Corp. (PDTC)	97.72	

Capital structure**Authorized capital stock**

Type of Security	Amount	Number of Shares	
Common shares	PhP750,000,000.00	7,500,000	

Subscribed Shares

Type of Security	Amount	Number of Shares	
Common shares	PhP625,000,000.00	6,250,000	

Paid-Up Capital

Amount	PhP625,000,000.00
Number of Shares	6,250,000

Issued Shares

Type of Security	Amount	Number of Shares	
Common shares	PhP625,000,000.00	6,250,000	

Outstanding Shares

Type of Security	Amount	Number of Shares	
Common shares	PhP625,000,000.00	6,250,000	

Par Value

Type of Security	Amount	
Common	Php100.00	

Ownership Structure (including percentage holdings)

Name	Number of Shares	% Ownership
The Philippine Stock Exchange, Inc.	1,311,439	20.983
Singapore Exchange Limited	1,250,000	20
Tata Consultancy Services Asia Pacific Pte. Ltd	500,000	8
Whistler Technologies Services, Inc.	500,000	8

San Miguel Corporation	250,000	4
AIA Philippines Life and General Insurance Company Inc.	250,000	4
Philippine National Bank	194,872	3.118
Citicorp Capital Philippines, Inc.	193,824	3.101
Development Bank of the Philippines	192,776	3.084
Financial Executives Institute of the Philippines Research and Development Foundation	192,776	3.084
Bank of the Philippine Islands	175,098	2.802
Metropolitan Bank & Trust Co.	146,309	2.341
BDO Unibank, Inc.	142,518	2.28
Land Bank of the Philippines	134,372	2.15
Rizal Commercial Banking Corp.	97,436	1.559
Social Security System	96,388	1.542
BAP Data Exchange, Inc.	49,991	0.8
Union Bank of the Philippines	49,436	0.791
Bankers Association of the Philippines	41,262	0.66
China Banking Corporation	36,936	0.591
Bank of Commerce	28,792	0.461
Philippine Bank of Communications	28,790	0.461
Philippine Trust Company	28,790	0.461
Security Bank Corporation	28,790	0.461
The Hong Kong and Shanghai Banking Corporation, Ltd.	28,790	0.461
Golden Astra Capital, Inc.	22,536	0.361
Bank of America NT & SA	21,290	0.341
Standard Chartered Bank	20,646	0.33
East West Banking Corp.	13,146	0.21
Maybank Philippines, Inc.	13,146	0.21
PDIC ITF Export and Industry Bank, Inc.	13,146	0.21
Philippine Veterans Bank	13,146	0.21
MUFG Bank, LTD.	12,500	0.2
Deutsche Bank AG	12,500	0.2
ING Bank N.V.	12,500	0.2
ANZ Bank	10,000	0.16
Philippine Deposit Insurance Corp.	8,146	0.13
United Overseas Bank – Westmont Bank	8,146	0.13
Asia United Bank	5,000	0.08
Bangkok Bank Public Co. Inc.	5,000	0.08
Bank of China (Manila Branch)	5,000	0.08
BDO Private Bank, Inc.	5,000	0.08
CTBC Bank (Philippines) Corp.	5,000	0.08
JP Morgan Chase Bank	5,000	0.08
Korea Exchange Bank	5,000	0.08
Mega International Commercial Bank Co. Ltd.	5,000	0.08
Mizuho Bank, Ltd. (formerly Mizuho Corporate Bank)	5,000	0.08
United Overseas Bank	5,000	0.08

IHAP ITF EBC Investment Inc.	4,031	0.064
IHAP ITF SMBC Metro Investment Corp.	4,031	0.064
IHAP ITF AB Capital and Investment Corp.	4,030	0.064
IHAP ITF BNP Paribas Investment (Phils) Inc.	4,030	0.064
IHAP ITF Investment & Capital Corp. of the Philippines	4,030	0.064
IHAP ITF Maybank ATR Kim Eng Capital Partners Inc. (now Maybank Capital, Inc.)	4,030	0.064
IHAP ITF Multinational Investment Bancorporation	4,030	0.064
IHAP ITF PCI Capital Corporation	4,030	0.064
IHAP ITF PentaCapital Investment Corporation	4,030	0.064
IHAP ITF Philippine Commercial Capital Inc.	4,030	0.064
IHAP ITF Philippine National Bank	4,030	0.064
IHAP ITF RCBC Capital Corporation	4,030	0.064
IHAP ITF Unicapital Inc.	4,030	0.064
IHAP ITF United Pacific Capital Corp.	4,030	0.064
Insular Investment Corporation	4,030	0.064
IHAP ITF Exchange Capital Corp.	3,855	0.062
IHAP ITF International Capital Corp.	3,855	0.062
IHAP ITF Abacus Capital & Investment Corp.	175	0.003
IHAP ITF Asian Alliance Investment Corp.	175	0.003
IHAP ITF Capital One Equities Corporation	175	0.003
IHAP ITF Citicorp Capital Philippines Inc.	175	0.003
IHAP ITF Export & Industry Bank Inc.	175	0.003
IHAP ITF Medco Asia Investment Corporation	175	0.003
IHAP ITF NMB Capital Inc.	175	0.003
IHAP ITF State Investment Trust Inc.	175	0.003
IHAP ITF Westmont Investment Corp.	175	0.003
Investment House Association of the Philippines	21	0
Jose T. Pardo	1	0
Ramon S. Monzon	1	0
Marilyn Victorio-Aquino	1	0
Ferdinand K. Constantino	1	0
Eddie T. Gobing	1	0
Peter B. Favila	1	0
Vicente L. Panlilio	1	0
Wilson L. Sy	1	0
Ma. Vivian Yuchengco	1	0

Board of Directors

Name	(Regular or Independent)	
Jose T. Pardo	Independent	
Ramon S. Monzon	Regular	
Marilyn Victorio-Aquino	Regular	
Ferdinand K. Constantino	Regular	
Peter B. Favila	Independent	
Eddie T. Gobing	Regular	

Vicente L. Panlilio	Independent	
Wilson L. Sy	Regular	
Ma. Vivian Yuchengco	Regular	

Principal Officers

Name	Position/Designation	
Jose T. Pardo	Chairman of the Board	
Ramon S. Monzon	President and CEO	
Elmer Serrano	Corporate Secretary	
Ferdinand K. Constantino	Finance Head/Treasurer	

Effect(s)/impact on the business, financial condition and operations of the Issuer

From a corporate standpoint, maintaining the business operations of both the PSE and PDS while reducing operational costs through synergies can result in greater business scalability and profitability. As the two companies have highly similar and integrated functions, there should be synergies that could be realized from an infrastructure standpoint, particularly on the technology side.

For the market, the single exchange setup helps achieve efficiencies, reduce risks, and facilitate the development of new products.

Other Relevant Information

Attached is the consolidated audited financial statements of PDSHC and its subsidiaries for the year ending December 31, 2023.

As of 27 December 2024, SGX, WTSI, SMC and Golden Astra have fulfilled all closing conditions for the Company's acquisition of a total of 2,022,536 common shares, representing 32.36% of the issued and outstanding shares of PDSHC pursuant to the Share Purchase Agreements executed on 26 December 2024.

On December 27, 2024 the Company entered into a Share Purchase Agreement with FINEX Foundation to acquire 96,388 common shares equivalent to 1.54% interest in PDSHC.

On 17 January 2025, the Company entered into a Share Purchase Agreement with AIA to acquire 250,000 common shares equivalent to 4% interest in PDSHC.

As of 17 January 2025, FINEX Foundation and IHAP have fulfilled all closing conditions for the Company's acquisition of additional 137,060 common shares representing 2.19% of the issued and outstanding shares of PDSHC pursuant to the Share Purchase Agreements executed on 27 December 2024 and 26 December 2024, respectively.

On January 28, 2025, the Company entered into a Share Purchase Agreement with BAP, for itself and on behalf of BAP Data Exchange, Inc. and certain member-banks to acquire 1,163,458 common shares equivalent to 18.62% interest in PDSHC.

As of 31 January 2025, AIA has fulfilled the closing conditions for the Company's acquisition of additional 250,000 common shares, representing 4% of the issued and outstanding shares of PDSHC pursuant to the Share Purchase Agreements executed on 17 January 2025.

As of 24 February 2025, BAP together with some of its members banks fulfilled the closing conditions for the Company's acquisition of an additional 1,174,750 common shares of BAP, representing 18.80% of the issued and outstanding shares of PDSHC pursuant to the Share Purchase Agreement executed on 28 January 2025. Included in this figure are the 28,792 common shares in PDSHC held by one of BAP's member banks which subsequently acceded to the terms of the Share Purchase Agreement through a Deed of Accession. On the other hand, one of BAP's member banks have not yet fulfilled the closing conditions.

On 20 March 2025, a member bank of BAP acceded to the Share Purchase Agreement between the Company and BAP, for the Company to acquire its 12,500 common shares equivalent to 0.2% interest in PDSHC.

On March 24, 2025, the Company entered into a Share Purchase Agreement with SSS to acquire 96,388 common shares of stock in PDSHC, equivalent to 1.54% interest in PDSHC.

As of April 2, 2025, SSS has fulfilled the closing conditions for the Company's acquisition of an additional 96,388 shares, representing 1.54% of the issued and outstanding shares of PDSHC. On the same date, Insular Investment Corporation also signed and closed the agreement with the Company for the acquisition by the Company of its 4,030 common shares equivalent to 0.0645% interest in PDSHC.

On April 10, 2025, Mizuho Bank, Ltd. signed an agreement with the Company for the sale of its 5,000 shares of stock of PDSHC, equivalent to 0.08% interest in PDSHC. On the same date, another member bank of BAP acceded to the Share Purchase Agreement of the Company with BAP agreeing to sell to the Company 5,000 common shares of stock of PDSHC equivalent to 0.08% interest PDSHC.

With the Company's existing 20.98% equity interest in PDSHC and the closing of the transactions with SGX, WTSI, SMC, Golden Astra, FINEX Foundation, IHAP, AIA, BAP and some of its member banks, SSS, Insular Investment Corporation, Citicorp, TCS, Mizuho, MUFG, LandBank and PDIC (for itself and in trust for Export and Industry Bank, Inc.), the Company will beneficially own 94.55% of PDSHC. The transaction is subject to customary post-closing conditions.

Please see also Disclosure Report Nos. C02374-2025, C02436-2025, C02958-2025, C03418-2025, C03912-2025, and C00029-2026.

Filed on behalf by:

Name	Aissa Encarnacion
Designation	Corporate Information Officer



COVER SHEET

A N 0 9 2 0 0 2 5 5 7

S.E.C. Registration Number

T H E P H I L I P P I N E
S T O C K
E X C H A N G E ,
I N C .

(Company's Full Name)

6 T H T O 1 0 T H F L O O R S , P S E T O W E R ,
5 T H A V E N U E C O R N E R 2 8 T H S T R E E T ,
B O N I F A C I O G L O B A L C I T Y ,
T A G U I G C I T Y

(Business Address: No. Street/City/Town/Province)

AISSA V. ENCARNACION
Corporate Secretary

Contact Person

(632) 8876-4888

Company Telephone Number

Month Day

SEC FORM 17-C
FORM TYPE

Month Day

Secondary License Type, if Applicable

Dept. Requiring this Doc.

Amended Articles Number/Section

Total No. of Stockholders

Total Amount of Borrowings

Domestic

Foreign

To be accomplished by SEC Personnel concerned

File Number

LCU

Document I.D.

Cashier

STAMPS

SECURITIES AND EXCHANGE COMMISSION

SEC FORM 17-C

CURRENT REPORT UNDER SECTION 17
OF THE SECURITIES REGULATION CODE
AND SRC RULE 17.2(c) THEREUNDER

1. Date of Report (Date of earliest event reported): 4 February 2026
2. SEC Identification Number: AN092-002557
3. BIR Tax Identification No.: 002-333-130
4. Exact name of registrant as specified in its charter: The Philippine Stock Exchange, Inc.
5. Republic of the Philippines
Province, country or other jurisdiction of incorporation
6. (SEC Use Only)
Industry Classification Code:
7. 6th to 10th Floors, PSE Tower, 5th Avenue corner 28th Street Bonifacio Global City, Taguig
City 1634
Address of principal office Postal Code
8. (632) 88764888
Registrant's telephone number, including area code
9. Not Applicable
Former name or former address, if changed since last report
10. Securities registered pursuant to Sections 8 and 12 of the SRC

Title of Each Class	Number of Shares of Common Stock Outstanding and Amount of Debt Outstanding
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Common Shares (Fully Paid)	81,957,837
Common Shares (Subscribed)	309,368
Total	82,267,205

11. Indicate the item numbers reported herein:

Item No. 9. Other Events

The Company and the Philippine Deposit Insurance Corporation ("PDIC") signed today an Agreement, pursuant to which the Company agreed to purchase (a) 8,146 common shares of stock in PDSHC owned by PDIC and (b) 13,146 common shares of stock in PDSHC held by PDIC in trust for Export and Industry Bank, Inc. In aggregate, the shares represent 0.34% of PDSHC's total issued and outstanding capital stock. This transaction closed today as well upon the parties' fulfillment of the transaction's closing conditions. The transaction will be subject to customary post-closing conditions.

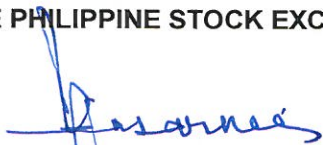
With the Company's existing 20.98% equity interest in PDSHC and the closing of the transactions with SGX, WTSI, SMC, Golden Astra, FINEX Foundation, IHAP, AIA, BAP and some of its member banks, SSS, Insular Investment Corporation, Citicorp, TCS, Mizuho, MUFG, LandBank and PDIC (for itself and in trust for Export and Industry Bank, Inc.), the Company will beneficially own 94.55% of PDSHC.

SIGNATURES

Pursuant to the requirements of the Securities Regulation Code, the issuer has duly caused this report to be signed on its behalf by the undersigned hereunto duly authorized.

THE PHILIPPINE STOCK EXCHANGE, INC.

By:



AISSA V. ENCARNACION
Corporate Information Officer

Philippine Dealing System Holdings Corp. and Subsidiaries

Consolidated Financial Statements
December 31, 2023 and 2022

and

Independent Auditor's Report



INDEPENDENT AUDITOR'S REPORT

The Board of Directors and Stockholders
Philippine Dealing System Holdings Corp. and Subsidiaries

Report on the Audit of the Consolidated Financial Statements

Opinion

We have audited the consolidated financial statements of Philippine Dealing System Holdings Corp. and its subsidiaries (the Group), which comprise the consolidated statements of financial position as at December 31, 2023 and 2022, and the consolidated statements of comprehensive income, consolidated statements of changes in equity and consolidated statements of cash flows for the years then ended, and notes to the consolidated financial statements, including material accounting policy information.

In our opinion, the accompanying consolidated financial statements present fairly, in all material respects, the consolidated financial position of the Group as at December 31, 2023 and 2022, and their consolidated financial performance and their consolidated cash flows for the years then ended in accordance with Philippine Financial Reporting Standards (PFRSs).

Basis for Opinion

We conducted our audits in accordance with Philippine Standards on Auditing (PSAs). Our responsibilities under those standards are further described in the *Auditor's Responsibilities for the Audit of the Consolidated Financial Statements* section of our report. We are independent of the Group in accordance with the Code of Ethics for Professional Accountants in the Philippines (Code of Ethics) together with the ethical requirements that are relevant to our audit of the consolidated financial statements in the Philippines, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the Code of Ethics. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Responsibilities of Management and Those Charged with Governance for the Consolidated Financial Statements

Management is responsible for the preparation and fair presentation of the consolidated financial statements in accordance with PFRSs, and for such internal control as management determines is necessary to enable the preparation of consolidated financial statements that are free from material misstatement, whether due to fraud or error.



In preparing the consolidated financial statements, management is responsible for assessing the Group's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Group or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Group's financial reporting process.

Auditor's Responsibilities for the Audit of the Consolidated Financial Statements

Our objectives are to obtain reasonable assurance about whether the consolidated financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not a guarantee that an audit conducted in accordance with PSAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these consolidated financial statements.

As part of an audit in accordance with PSAs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

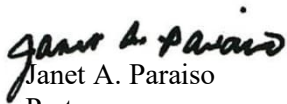
- Identify and assess the risks of material misstatement of the consolidated financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Group's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the consolidated financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Group to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the consolidated financial statements, including the disclosures, and whether the consolidated financial statements represent the underlying transactions and events in a manner that achieves fair presentation.



- Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the Group to express an opinion on the consolidated financial statements. We are responsible for the direction, supervision and performance of the audit. We remain solely responsible for our audit opinion.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

SYCIP GORRES VELAYO & CO.



Janet A. Paraiso

Partner

CPA Certificate No. 92305

Tax Identification No. 193-975-241

BOA/PRC Reg. No. 0001, August 25, 2021, valid until April 15, 2024

BIR Accreditation No. 08-001998-062-2023, October 23, 2023, valid until October 22, 2026

PTR No. 10079894, January 5, 2024, Makati City

February 29, 2024



PHILIPPINE DEALING SYSTEM HOLDINGS CORP. AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF FINANCIAL POSITION

	December 31	
	2023	2022
ASSETS		
Current Assets		
Cash and cash equivalents (Note 4)	₱434,522,316	₱621,886,419
Receivables (Note 5)	114,616,481	123,008,157
Investment securities at fair value through profit or loss (Note 6)	78,003,327	75,285,764
Financial assets at amortized cost (Note 7)	639,106,346	455,318,257
Other current assets (Note 8)	107,686,464	112,464,097
Total Current Assets	1,373,934,934	1,387,962,694
Noncurrent Assets		
Financial assets at amortized cost - noncurrent (Note 7)	5,300,595	7,363,009
Software and system development costs (Note 9)	4,620,563	7,565,600
Property and equipment (Note 10)	94,560,686	90,587,516
Goodwill (Note 11)	4,084,521	4,084,521
Deferred tax assets (Note 21)	22,336,583	25,198,963
Other noncurrent assets (Note 11)	11,988,986	12,354,052
Total Noncurrent Assets	142,891,934	147,153,661
Total Assets	₱1,516,826,868	₱1,535,116,355
LIABILITIES AND EQUITY		
LIABILITIES		
Current Liabilities		
Accrued expenses and other payables (Note 12)	₱89,321,282	₱84,109,963
Dividend payable	81,860,592	74,878,917
Income tax payable	21,683,170	20,718,222
Contract liabilities (Note 14)	2,868,719	3,552,821
Lease liabilities (Note 19)	15,492,403	26,183,884
Total Current Liabilities	211,226,166	209,443,807
Noncurrent Liabilities		
Retirement and other post-employment benefit obligation (Note 20)	14,670,371	20,546,727
Contract liabilities (Note 14)	4,554,057	5,745,005
Lease liabilities (Note 19)	2,321,258	14,841,598
Total Noncurrent Liabilities	21,545,686	41,133,330
Total Liabilities	232,771,852	250,577,137
EQUITY		
Equity Attributable to Equity Holders of the Parent Company		
Common stock (Note 13)	625,000,000	625,000,000
Additional paid-in capital	26,317,786	26,317,786
Remeasurement gains on retirement and other post-employment benefit obligation (Note 20)	23,788,112	23,433,815
Retained earnings (Note 13)	589,646,933	590,728,420
	1,264,752,831	1,265,480,021
Noncontrolling Interests		
Total Equity	1,284,055,016	1,284,539,218
Total Liabilities and Equity	₱1,516,826,868	₱1,535,116,355

See accompanying Notes to Consolidated Financial Statements.



PHILIPPINE DEALING SYSTEM HOLDINGS CORP. AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF COMPREHENSIVE INCOME

	Years Ended December 31	
	2023	2022
NET SERVICE REVENUE (Note 14)	₱970,933,606	₱956,982,512
OTHER INCOME (Note 15)	51,357,486	22,441,338
	1,022,291,092	979,423,850
COSTS AND OPERATING EXPENSES		
Cost of services (Note 16)	452,834,720	442,482,605
Professional fees	25,542,388	30,646,638
Salaries and employee benefits (Note 17)	24,444,100	25,787,248
Taxes and licenses	12,243,731	15,946,893
Outside services	8,107,911	7,085,312
Depreciation and amortization (Notes 9 and 10)	5,462,830	5,510,420
Provision for (recovery from) impairment, credit and other probable losses (Notes 11 and 26)	4,909,666	(7,445,516)
Repairs and maintenance	2,380,390	2,918,997
Supplies	2,362,025	1,314,584
Utilities	1,910,658	1,808,695
Travel	1,410,444	246,849
Insurance	715,391	679,734
Rent (Notes 19 and 26)	394,059	657,836
Others (Note 18)	1,890,001	1,694,697
	544,608,314	529,334,992
INCOME FROM OPERATIONS	477,682,778	450,088,858
Interest expense on lease liabilities (Note 19)	2,451,736	3,468,052
INCOME BEFORE INCOME TAX	475,231,042	446,620,806
PROVISION FOR INCOME TAX (Note 21)	118,286,142	117,074,821
NET INCOME	356,944,900	329,545,985
OTHER COMPREHENSIVE INCOME		
Items that will not be reclassified to profit or loss in subsequent periods:		
Remeasurement gains on retirement and other post-employment benefit obligation (Note 20)	492,125	12,727,122
Income tax effect (Note 21)	(132,071)	(1,996,833)
	360,054	10,730,289
TOTAL COMPREHENSIVE INCOME	₱357,304,954	₱340,276,274
Net income attributable to:		
Equity holders of the Parent Company	₱348,918,513	₱321,509,092
Noncontrolling interests	8,026,387	8,036,893
	₱356,944,900	₱329,545,985
Total comprehensive income attributable to:		
Equity holders of the Parent Company	₱349,272,810	₱332,394,087
Noncontrolling interests	8,032,144	7,882,187
	₱357,304,954	₱340,276,274

See accompanying Notes to Consolidated Financial Statements.



PHILIPPINE DEALING SYSTEM HOLDINGS CORP. AND SUBSIDIARIES

**CONSOLIDATED STATEMENTS OF CHANGES IN EQUITY
FOR THE YEARS ENDED DECEMBER 31, 2023 AND 2022**

	Common Stock (Note 13)	Additional Paid-in Capital	Remeasurement Gains on Retirement and Other Post-employment Benefit Obligation (Note 20)	Retained Earnings (Note 13)	Total	Noncontrolling Interests (Note 13)	Total
Balances at January 1, 2023	₱625,000,000	₱26,317,786	23,433,815	₱590,728,420	₱1,265,480,021	₱19,059,197	₱1,284,539,218
Net income	–	–	–	348,918,513	348,918,513	8,026,387	356,944,900
Other comprehensive income	–	–	354,297	–	354,297	5,757	360,054
Total comprehensive income	–	–	354,297	348,918,513	349,272,810	8,032,144	357,304,954
Dividends declared (Note 13)	–	–	–	(350,000,000)	(350,000,000)	(7,789,156)	(357,789,156)
Balances at December 31, 2023	₱625,000,000	₱26,317,786	₱23,788,112	₱589,646,933	₱1,264,752,831	₱19,302,185	₱1,284,055,016
Balances at January 1, 2022	₱625,000,000	₱26,317,786	₱12,548,820	₱619,219,328	₱1,283,085,934	₱19,093,448	₱1,302,179,382
Net income	–	–	–	321,509,092	321,509,092	8,036,893	329,545,985
Other comprehensive income (loss)	–	–	10,884,995	–	10,884,995	(154,706)	10,730,289
Total comprehensive income (loss)	–	–	10,884,995	321,509,092	332,394,087	7,882,187	340,276,274
Dividends declared (Note 13)	–	–	–	(350,000,000)	(350,000,000)	(7,916,438)	(357,916,438)
Balances at December 31, 2022	₱625,000,000	₱26,317,786	₱23,433,815	₱590,728,420	₱1,265,480,021	₱19,059,197	₱1,284,539,218

See accompanying Notes to Consolidated Financial Statements.



PHILIPPINE DEALING SYSTEM HOLDINGS CORP. AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF CASH FLOWS

	Years Ended December 31	
	2023	2022
CASH FLOWS FROM OPERATING ACTIVITIES		
Income before income tax	₱475,231,042	₱446,620,806
Adjustments for:		
Depreciation and amortization (Notes 9 and 10)	50,413,475	49,129,885
Interest income (Notes 7 and 15)	(24,517,369)	(7,778,959)
Amortization of discount on financial assets at amortized cost - net (Note 7)	(5,585,302)	(990,866)
Interest expense on lease liabilities (Note 19)	2,451,736	3,468,052
Net unrealized foreign exchange loss (gain)	351,060	(1,166,954)
Changes in operating assets and liabilities:		
Decrease (increase) in:		
Investment securities at fair value through profit or loss (Note 6)	(2,917,563)	(828,265)
Receivables	(5,299,832)	13,183,534
Other current assets	21,517,477	(60,292,651)
Other noncurrent assets	365,065	(128,653)
Increase (decrease) in:		
Accrued expenses and other payables	5,210,518	(10,084,703)
Retirement and other post-employment benefit obligation	(5,384,232)	(7,576,491)
Contract liabilities	(1,875,050)	708,706
Net cash generated from operations	509,961,025	424,263,441
Interest received	38,208,877	14,038,650
Income taxes paid	(131,330,728)	(132,877,164)
Net cash provided by operating activities	416,839,174	305,424,927
CASH FLOWS FROM INVESTING ACTIVITIES		
Additions to:		
Financial assets at amortized cost (Note 7)	(1,454,095,766)	(1,340,867,588)
Property and equipment (Note 10)	(52,123,852)	(8,036,699)
Software and system development costs (Note 9)	–	(3,454,044)
Proceeds from:		
Maturity of financial assets at amortized cost	1,277,955,393	1,407,850,180
Redemption of money market funds	–	7,299,117
Maturity of investment securities at fair value through profit or loss	200,000	976,000
Net cash provided by (used in) investing activities	(228,064,225)	63,766,966
CASH FLOWS FROM FINANCING ACTIVITIES		
Payment of cash dividends (Notes 13 and 25)	(350,806,680)	(343,565,540)
Payment of lease liabilities (Note 25)	(24,981,312)	(25,122,681)
Cash used in financing activities	(375,787,992)	(368,688,221)
EFFECT OF EXCHANGE RATE CHANGES ON CASH AND CASH EQUIVALENTS	(351,060)	1,166,954
NET INCREASE (DECREASE) IN CASH AND CASH EQUIVALENTS	(187,364,103)	1,670,626
CASH AND CASH EQUIVALENTS AT BEGINNING OF YEAR	621,886,419	620,215,793
CASH AND CASH EQUIVALENTS AT END OF YEAR (Note 4)	₱434,522,316	₱621,886,419

See accompanying Notes to Consolidated Financial Statements.



PHILIPPINE DEALING SYSTEM HOLDINGS CORP. AND SUBSIDIARIES

NOTES TO CONSOLIDATED FINANCIAL STATEMENTS

1. Corporate Information

Status of operations

Philippine Dealing System Holdings Corp. (the Parent Company) is a domestic corporation incorporated in the Philippines on April 24, 2001. As of December 31, 2023 and 2022, it holds ownership interests in the following entities, which are all incorporated in the Philippines:

Subsidiaries	Effective % of Ownership
Philippine Dealing & Exchange Corp. (PDEX)**	100.00
Philippine Depository & Trust Corp. (PDTC)	97.72
PCD Nominee Corporation (PCNC)*	97.72

*A wholly-owned subsidiary of PDTC

**effective August 2022, Philippine Securities Settlement Corp (PSSC) was merged with PDEX

The Parent Company is the ultimate parent company of the Group (the Company and its subsidiaries). The primary purpose of the Parent Company is to invest in, purchase, or otherwise hold, use, sell, assign, transfer, mortgage, pledge, exchange, or otherwise dispose of shares of stock in exchanges as defined in the Securities Regulations Code or other laws as well as in one or more corporations which will provide depository, registry, clearing, settlement, custody, securities borrowing and lending, information technology, and other support services for the exchanges or for the other exchanges of securities or monetary transactions or platforms.

In order to streamline the operations of subsidiaries of PDSHC for greater efficiency and economy in the management and operations of the Group, On November 9, 2021, the Board of Directors and stockholders of PDEX and PSSC approved the plan of merger between the two companies, which are both wholly-owned by the Parent Company.

Under the approved Articles of Merger, the effective date of the merger shall be the date when the Certificate of Filing of Articles and Plan of Merger have been issued and released by the SEC. On July 20, 2022, the SEC approved the Plan of Merger, with August 1, 2022 as the effective date of the merger. The merger has no impact on the consolidated balances of the Group.

PDEX was incorporated in the Philippines on June 17, 2003. It started commercial operations in April 2005. Prior to the merger, PDEX was organized to primarily engage in the business of providing and maintaining an automated platform and infrastructure for the issuance, trading, dealing, brokering and exchange of fixed-income securities, monetary instruments and their derivatives including but not limited to bonds, notes, debentures, bills, commercial papers, participations, trusts, asset-backed securities, and quasi-debt securities, as well as currencies, forwards, or other derivatives.

On November 9, 2021, the Board of Directors and stockholders of PDEX approved the amendment of articles of incorporation, which will now include additional secondary purpose for its post-merger operations, which include engaging in the business of operating as a central clearing and settlement institution that will provide and perform clearance, settlement and related services for trades and other transactions in or involving securities, monetary or financial instruments and their derivatives, whether certificated or scripless, immobilized or dematerialized, including but not limited to those traded in or through any existing duly licensed and/or organized exchanges or markets and other similar exchanges or market; and in pursuance of the foregoing purposes, develops, manages, and executes rules, principles, standards, technologies, systems and market conventions according to global best practices and regulates its participants through its power to impose fees and penalties.



PDTC was incorporated in the Philippines on March 31, 1995. It is authorized to primarily act as depository, registry or transfer agent, custodian, trustee and/or intermediary of its participants of any and all kinds of securities, monetary or financial instruments and their derivatives; to borrow instruments from its participants; whether for its own account or for account of its other participants, for the purpose of relending; to perform, facilitate, or otherwise provide support services for the clearing and settlement of transactions on the instruments; to provide a system to immobilize or dematerialize instruments; to otherwise perform the functions of a quasi-bank, a trust company, a securities depository and a clearing agency under applicable laws and regulations and in pursuance to of the foregoing purposes: to develop, manage and execute rules, principles, standards, technologies, systems, and market conventions according to global best practices, and regulate its participants with the power to impose fees and penalties.

On October 2, 2004, the Bangko Sentral ng Pilipinas (BSP) approved PDTC's application to engage in trust and quasi-banking activities in connection with its role as depository and custodian of all kinds of securities. Under the existing rules and regulations of the BSP, PDTC is required to maintain an unimpaired paid-in capital of at least ₱300.00 million (Note 24).

PCNC was incorporated in the Philippines on January 23, 1996. It is engaged to hold legal title to all immobilized or dematerialized securities listed and/or traded in the Philippine Stock Exchange (PSE) or any other registered stock exchange, and/or traded in any over-the-counter market or markets for and on behalf of the trading participants of PDTC; including the right to receive dividends for and on behalf of the beneficial owners of the securities.

The registered office of the Group, which is also its principal place of business, is located at the 29th Floor, BDO Equitable Tower, 8751 Paseo de Roxas St., Makati City.

Approval of Financial Statements

The consolidated financial statements of the Group were authorized for issue by the Parent Company's Board of Directors (BOD) on February 29, 2024.

2. Summary of Material Accounting Policy Information

Basis of Preparation

The consolidated financial statements have been prepared on a historical cost basis, except for financial assets at fair value through profit or loss (FVPL) that have been measured at fair value. The consolidated financial statements are presented in Philippine peso, the Group's functional and presentation currency, and all values are rounded to the nearest Peso (₱ or 'Peso'), except when otherwise indicated.

Statement of Compliance

The consolidated financial statements of the Group have been prepared in compliance with Philippine Financial Reporting Standards (PFRS).

Basis of Consolidation

The consolidated financial statements comprise the financial statements of the Parent Company and its subsidiaries as at December 31, 2023 and 2022 and for the years then ended.



Subsidiaries are fully consolidated from the date of acquisition, being the date on which the Group obtains control, and continue to be consolidated until the date when such control ceases. The financial statements of the subsidiaries are prepared for the same reporting period as the Parent Company, using consistent accounting policies. All intra-group balances, transactions, unrealized gains and losses resulting from intra-group transactions and dividends are eliminated in full.

Total comprehensive income within a subsidiary is attributed to the noncontrolling interest even if that results in a deficit balance.

A change in the ownership interest of a subsidiary, without a loss of control, is accounted for as an equity transaction. If the Group loses control over a subsidiary, it:

- Derecognizes the assets (including goodwill) and liabilities of the subsidiary;
- Derecognizes the carrying amount of any non-controlling interests;
- Derecognizes the cumulative translation differences recorded in equity;
- Recognizes the fair value of the consideration received;
- Recognizes the fair value of any investment retained;
- Recognizes any surplus or deficit in profit or loss; and
- Reclassifies the Group's share of components previously recognized in other comprehensive income to profit or loss or retained earnings, as appropriate.

Non-controlling Interests

Non-controlling interests represent the portion of profit or loss and the net assets not owned directly or indirectly, by the Group and are presented separately in profit or loss and within equity in the consolidated statement of financial position, separately from equity attributable to the Parent Company. Any losses applicable to the non-controlling interests are allocated against the interests of the non-controlling interests even if this results in the non-controlling interests having a deficit balance. Acquisitions of non-controlling interests that do not result in a loss of control are accounted for as an equity transaction whereby the difference between the consideration and the fair value of the share of the net assets acquired is recognized as an equity transaction and attributed to the owners of the Parent Company.

Current versus Non-current Classification

The Group presents its statement of financial position based on current and non-current classification.

An asset is current when it is:

- expected to be realized or intended to be sold or consumed in the normal operating cycle;
- held primarily for the purpose of trading;
- expected to be realized within twelve months after the reporting period; or
- cash or a cash equivalent, unless the asset is restricted from being exchanged or used to settle a liability for at least twelve months after the reporting period.

The Group classifies all other assets as non-current.

A liability is current when:

- it is expected to be settled in the normal operating cycle;
- it is held primarily for the purpose of trading;



- it is due to be settled within twelve months after the reporting period; or
- there is no unconditional right to defer the settlement of the liability for at least twelve months after the reporting period.

The Group classifies all other liabilities as non-current.

Changes in Accounting Policies and Disclosures

The accounting policies adopted are consistent with those of the previous financial year, except for the adoption of new standards effective in 2023. The Group has not early adopted any standard, interpretation or amendment that has been issued but is not yet effective.

Unless otherwise indicated, adoption of these new standards did not have an impact on the financial statements of the Company.

- Amendments to PAS 12, *International Tax Reform-Pillar Two Model Rules*
- Amendments to PAS 12, *Deferred Tax related to Assets and Liabilities arising from a Single Transaction*
- Amendments to PAS 8, *Definition of Accounting Estimates*
- Amendments to PAS 1 and PFRS Practice Statement 2, *Disclosure of Accounting Policies*

Material Accounting Policy Information

Cash and Cash Equivalents

Cash and cash equivalents include cash on hand and in banks and short-term placements with original maturities of three months or less from dates of placements that are subject to insignificant risk of changes in value.

Financial Instruments

Date of recognition

A financial instrument is any contract that gives rise to a financial asset of one entity and a financial liability or equity instrument of another entity. The Group recognizes a financial asset or a financial liability in the statement of financial position when it becomes a party to the contractual provisions of the instrument. In the case of a regular way purchase or sale of financial assets, recognition and derecognition, as applicable, is done using settlement date accounting.

Classification and measurement of financial instruments

Financial assets

Financial assets are classified, at initial recognition, as subsequently measured at amortized cost, fair value through other comprehensive income (FVOCI) and FVPL.

The classification of financial assets at initial recognition depends on the financial asset's contractual cash flow characteristics and the Group's business model for managing them.

In order for a financial asset to be classified and measured at amortized cost or FVOCI, it needs to give rise to cash flows that are solely payment for principal and interest (SPPI) on the principal amount outstanding. This assessment is referred to as the SPPI test and is performed at an instrument level.



The Group's business model for managing financial assets refers to how it manages its financial assets in order to generate cash flows. The business model determines whether cash flows will result from collecting contractual cash flows, selling the financial assets, or both.

Subsequent measurement

For purposes of subsequent measurement, financial assets are classified in these categories:

- Financial assets at amortized cost
- Financial assets at FVOCI with recycling of cumulative gains and losses (debt instruments)
- Financial assets at FVOCI with no recycling of cumulative gains and losses upon derecognition (equity instruments)
- Financial assets at FVPL

As of December 31, 2023 and 2022, the Group has investment at amortized cost and FVPL.

Financial assets at amortized cost

This category is the most relevant to the Group. The Group measures financial assets at amortized cost if both of the following conditions are met:

- The financial asset is held within a business model with the objective to hold financial assets in order to collect contractual cash flows; and
- The contractual terms of the financial asset give rise on specified dates to cash flows that are SPPI on the principal amount outstanding.

Financial assets at amortized cost are subsequently measured using the effective interest (EIR) method and are subject to impairment. Gains and losses are recognized in profit or loss when the asset is derecognized, modified or impaired.

The Group's financial assets at amortized cost includes 'Cash and cash equivalents', 'Receivables', security deposits included under 'Other current assets' and 'Investment in debt securities'.

Financial assets at FVPL

Financial assets at FVPL include financial assets held for trading, financial assets designated upon initial recognition at FVPL, or financial assets mandatorily required to be measured at fair value. Financial assets are classified as held for trading if they are acquired for the purpose of selling or repurchasing in the near term. Financial assets with cash flows that are not SPPI are classified and measured at fair value through profit or loss, irrespective of the business model. Notwithstanding the criteria for debt instruments to be classified at amortized cost or at FVOCI, as described above, debt instruments may be designated at fair value through profit or loss on initial recognition if doing so eliminates, or significantly reduces, an accounting mismatch.

Financial assets at FVPL are carried in the statement of financial position at fair value with net changes in fair value recognized in profit or loss in the consolidated statement of comprehensive income. Interest earned on these investments is reported in the consolidated statement of comprehensive income under 'Other income.' Interest income is recognized using the contractual interest rate.

The Group's financial assets at FVPL includes 'Investment in money market funds' and 'Investment securities at fair value through profit or loss'.



Reclassification of financial assets

The Group can only reclassify financial assets if the objective of its business model for managing those financial assets changes. A change in the objective of the Group's business model will be effected only at the beginning of the next reporting period following the change in the business model.

Financial liabilities

Financial liabilities are classified, at initial recognition, as financial liabilities at FVPL, or other financial liabilities, as appropriate.

All financial liabilities are recognized initially at fair value and, in the case of loans and borrowings and payables, net of directly attributable transaction costs.

Subsequent measurement

The measurement of financial liabilities depends on their classification, as described below:

Financial liabilities at FVPL

Financial liabilities at FVPL include financial liabilities held for trading and financial liabilities designated upon initial recognition as at FVPL.

Loans and borrowings and payables

After initial recognition, these liabilities are subsequently measured at amortized cost using the EIR method. Gains and losses are recognized in profit or loss when the liabilities are derecognized as well as through the EIR amortization process.

Amortized cost is calculated by taking into account any discount or premium on acquisition and fees or costs that are an integral part of the EIR. The EIR amortization is included as finance costs in the statement of comprehensive income.

The Group's financial liabilities include 'Accrued expenses and other payables' and 'Lease liabilities'.

Impairment of financial assets

The Group recognizes an allowance for expected credit losses (ECLs) for all debt instruments not held at FVPL. ECLs are based on the difference between the contractual cash flows due in accordance with the contract and all the cash flows that the Group expects to receive, discounted at an approximation of the original effective interest rate.

ECLs are recognized in two stages. For credit exposures for which there has not been a significant increase in credit risk since initial recognition, ECLs are provided for credit losses that result from default events that are possible within the next 12-months (a 12-month ECL). For those credit exposures for which there has been a significant increase in credit risk since initial recognition, a loss allowance is required for credit losses expected over the remaining life of the exposure, irrespective of the timing of the default (a lifetime ECL).

For trade receivables, the Group applies a simplified approach in calculating ECLs. Therefore, the Group does not track changes in credit risk, but instead recognizes a loss allowance based on lifetime ECLs at each reporting date. The Group has established a provision matrix that is based on its historical credit loss experience, adjusted for forward-looking factors specific to the debtors and the economic environment.



For cash and cash equivalents and financial assets at amortized cost, the Group applies the low credit risk simplification. The Group considers a debt financial asset to have low credit risk when its credit risk rating is equivalent to the definition of investment grade. At every reporting date, the Group evaluates whether the debt instrument is considered to have low credit risk using all reasonable and supportable information that is available without undue cost or effort.

The Group considers a financial asset in default when contractual payments are 90 days past due. However, in certain cases, the Group may also consider a financial asset to be in default when internal or external information indicates that the Group is unlikely to receive the outstanding contractual amounts in full before taking into account any credit enhancements held by the Group.

A financial asset is written off when there is no reasonable expectation of recovering the contractual cash flows.

Offsetting of Financial Instruments

Financial assets and financial liabilities are offset and the net amount reported in the statement of financial position if, and only if, there is a currently enforceable legal right to offset the recognized amounts and there is an intention to settle on a net basis, or to realize the asset and settle the liability simultaneously.

Fair Value Measurement

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. The fair value measurement is based on the presumption that the transaction to sell the asset or transfer the liability takes place either:

- In the principal market for the asset or liability, or
- In the absence of a principal market, in the most advantageous market for the asset or liability.

The principal or the most advantageous market must be accessible to the Group.

The fair value of an asset or a liability is measured using the assumptions that market participants would use when pricing the asset or liability, assuming that market participants act in their economic best interest.

A fair value measurement of a nonfinancial asset takes into account a market participant's ability to generate economic benefits by using the asset in its highest and best use or by selling it to another market participant that would use the asset in its highest and best use.

The Group uses valuation techniques that are appropriate in the circumstances and for which sufficient data are available to measure fair value, maximizing the use of relevant observable inputs and minimizing the use of unobservable inputs.

All assets and liabilities for which the fair value is measured or disclosed in the financial statements are categorized within the fair value hierarchy, described as follows, based on the lowest level input that is significant to the fair value measurement as a whole:

- Level 1 - Quoted (unadjusted) market prices in active markets for identical assets or liabilities
- Level 2 - Valuation techniques for which the lowest level input that is significant to the fair value measurement is directly or indirectly observable



- Level 3 - Valuation techniques for which the lowest level input that is significant to the fair value measurement is unobservable

For assets and liabilities that are recognized in the financial statements on a recurring basis, the Group determines whether transfers have occurred between Levels in the hierarchy by re-assessing categorization (based on the lowest level input that is significant to the fair value measurement as a whole) at the end of each reporting period.

For the purpose of fair value disclosures, the Group has determined classes of assets and liabilities on the basis of the nature, characteristics and risks of the asset or liability and the level of the fair value hierarchy as explained above.

Property and Equipment

Depreciable properties such as office equipment, registry, depository and custody equipment, leasehold improvements, furniture and fixtures, and exchange system are stated at cost less accumulated depreciation and amortization and any impairment in value.

The initial cost of property and equipment consists of its purchase price, including import duties, taxes and any directly attributable costs of bringing the asset to its working condition and location for its intended use. Expenditures incurred after items of property and equipment have been put into operation, such as repairs and maintenance are normally charged in profit or loss in the consolidated statement of comprehensive income in the period in which the costs are incurred. In situations where it can be clearly demonstrated that the expenditures have resulted in an increase in the future economic benefits expected to be obtained from the use of an item of property and equipment beyond its originally assessed standard of performance, the expenditures are capitalized as an additional cost of property and equipment.

Depreciation and amortization is computed using the straight-line method over the estimated useful lives (EUL) of the respective assets.

EUL of property and equipment follow:

	Years
Office equipment	3-5
Registry, depository and custody equipment	5-10
Furniture and fixtures	3-5
Exchange system	7

Leasehold improvements are amortized over the shorter of the terms of the covering leases and the EUL of the improvements of five years.

The EUL and the depreciation and amortization method are reviewed periodically to ensure that the period and the method of depreciation and amortization are consistent with the expected pattern of economic benefits from items of property and equipment.

An item of property and equipment is derecognized upon disposal or when no future economic benefits are expected from its use or disposal. Any gain or loss arising on derecognition of the asset (calculated as the difference between the net disposal proceeds and the carrying amount of the asset) is included in profit or loss in the year the asset is derecognized.



Intangible Assets

Intangible assets acquired separately are measured on initial recognition at cost. Following initial recognition, intangible assets are carried at cost less any accumulated amortization and accumulated impairment losses.

Intangible assets with indefinite useful lives are not amortized, but are tested for impairment annually, either individually or at the cash-generating unit level. The assessment of indefinite life is reviewed annually to determine whether the indefinite life continues to be supportable. If not, the change in useful life from indefinite to finite is made on prospective basis.

Gains or losses arising from the derecognition of an intangible asset are measured as the difference between the net disposal proceeds and the carrying amount of the asset and are recognized in profit or loss in the consolidated statement of comprehensive income when the asset is derecognized.

Software and system development costs

Software and system development costs include cost of computer software and system development costs which are accounted for under the cost model. The cost of the asset is the amount of cash or cash equivalents paid or the fair value of the other considerations given up at the time of its acquisition or production.

Acquired computer software licenses are capitalized on the basis of the costs incurred to acquire and install the specific software. Costs associated with maintaining computer software are expensed as incurred.

Costs associated with research activities are expensed in profit or loss in the consolidated statement of comprehensive income as they occur. Costs that are directly attributable to the development phase of the new customized software for information technology and telecommunications systems, as well as the exchange system, are recognized as intangibles, provided they meet the following recognition requirements:

- a. Demonstration of technical feasibility of the prospective product for internal use or sale;
- b. The software and system development costs will generate probable economic benefits through internal use or sale;
- c. Sufficient technical, financial and other resources are available for completion; and
- d. The software and system development costs can be reliably measured.

Directly attributable costs include employee costs incurred on software and system development along with an appropriate portion of relevant overheads. The costs of internally developed software are recognized as intangible assets and are subject to the same subsequent measurement method as those externally acquired software licenses. Amortization commences upon completion of the asset. Capitalized costs are amortized on a straight-line basis over the EUL of five to ten years. In addition, software and system development costs are subject to impairment testing.

Goodwill

Any excess of the cost of acquisition of a business over the fair values of the identifiable net assets acquired is recognized as goodwill. Goodwill represents the excess of the acquisition cost of PDTC over the fair value of its identifiable net assets at the date of acquisition. Following initial recognition, goodwill is measured at cost less any accumulated impairment losses. Goodwill is reviewed for impairment annually (see accounting policy on Impairment of Nonfinancial Assets).



Impairment of Nonfinancial Assets

Property and equipment, software and system development costs and other assets

The Group assesses at each reporting date whether there is an indication that the Group's property and equipment, software and system development costs and other assets may be impaired. When an indicator of impairment exists or when an annual impairment testing for an asset is required, the Group makes a formal estimate of the the recoverable amount. Recoverable amount is the higher of an asset's (or cash-generating unit's) fair value less costs to sell and its value in use and is determined for an individual asset, unless the asset does not generate cash inflows that are largely independent of those from other assets or groups of assets, in which case, the recoverable amount is assessed as part of the cash-generating unit (CGU) to which it belongs. Where the carrying amount of an asset (or CGU) exceeds its recoverable amount, the asset (or CGU) is considered impaired and is written down to its recoverable amount. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset (or CGU).

An impairment loss is charged against profit or loss in the consolidated statement of comprehensive income in the period in which it arises.

A previously recognized impairment loss is reversed only if there has been a change in the assumptions used to determine the asset's recoverable amount since the last impairment loss was recognized. The reversal is limited so that the carrying amount of the asset does not exceed its recoverable amount, nor exceeds the carrying amount that would have been determined, net of depreciation and amortization, had no impairment loss been recognized for the asset in prior years. Such reversal is recognized in profit or loss in the consolidated statement of comprehensive income.

Goodwill

Goodwill is reviewed for impairment annually or more frequently if events or changes in circumstances indicate that the carrying value may be impaired.

Impairment is determined for goodwill by assessing the recoverable amount of the CGU to which the goodwill relates. Where the recoverable amount of the CGU is less than the carrying amount of the CGU to which goodwill has been allocated, an impairment loss is recognized immediately in profit or loss in the consolidated statement of comprehensive income. Impairment losses relating to goodwill cannot be reversed for subsequent increases in its recoverable amount in future periods.

Equity

Capital stock is measured at par value for all shares issued and outstanding. When the shares are sold at a premium, the difference between the proceeds and the par value is credited to 'Additional paid-in capital'. Direct costs incurred related to equity issuance, such as underwriting, accounting and legal fees, printing costs and taxes are chargeable to 'Additional paid-in capital'. If the 'Additional paid-in capital' is not sufficient, the excess is charged against the 'Retained Earnings'. When the Group issues more than one class of stock, a separate account is maintained for each class of stock.

Retained earnings represent accumulated earnings of the Group less dividends declared.

Revenue Recognition

Revenue from contracts with customers is recognized upon transfer of services to the customer at an amount that reflects the consideration to which the Group expects to be entitled in exchange for those services.



The Group assesses its revenue arrangements against specific criteria in order to determine if it is acting as a principal or agent. The Group concluded that it is acting as a principal in all of its revenue arrangements.

The Group earns revenues from a diverse range of services it provides to its customers, which are divided into the following two categories:

- a) Revenues earned from services that are provided over a certain period of time.
Revenues earned for the provision of the following services are recognized over time, using an input method to measure progress toward complete satisfaction of the services, because the customer simultaneously receives and consumes the benefits provided by the Group.

Entity	Type of fee/service	Nature of performance obligation	Revenue recognition
PDEX	Listing fees	Listing fees, which include initial application fees and annual maintenance fees, pertain to fees earned for the maintenance of an admitted security in PDEX's Trading System Infrastructure (TSI), monitoring and publication of disclosures submissions, and monitoring trading activity on the admitted security.	Initial application fees are recognized as revenue on a straight-line basis over the term of the listed security while maintenance fees are billed on an annual basis every January and recognized as revenue on a straight-line basis over 12 months.
	Data services fees	Data services fees pertain to fees earned for the distribution of real-time market information.	Fees are recognized on a monthly basis.
PDTC	Registry - maintenance fees	Registry - maintenance fees pertain to the maintenance of the official record of the list of registered holders of paperless or uncertificated fixed income or equity securities for the issuer of the security.	Fees are recognized on a monthly basis.
	Depository securities account fees	Fees charged for the use of the depository infrastructure to maintain and process depository securities accounts.	Fees are recognized on a daily basis.
	Collateral management fee	Fees charged for the administration of outstanding securities and collateral used to cover expenses.	Fees are recognized on a daily basis.

- b) Revenues earned from services that are provided at a point in time
Revenues are recognized when the performance obligation is satisfied at a point in time (i.e. as the service is rendered). Revenues under this category include Transaction fees charged by PDEX and PDTC.

PDEX provides discounts or rebates to customers if the total trading volume for the year reaches a certain threshold. PDEX applies the 'most likely amount method' to estimate the variable consideration at contract inception. That is, the amount of consideration is adjusted if the trading volume threshold will most likely be reached during the year. The amount of consideration will be known and adjusted on or before year-end (i.e. no longer variable) because the total trading volume



threshold is based on the total transactions for a calendar year and all customers are entitled for the discounts or rebates.

The Company also considered in the transaction price some or all of an amount of variable consideration estimated only to the extent that it is highly probable that a significant reversal in the amount of cumulative revenue recognized will not occur when the uncertainty associated with the variable consideration is subsequently resolved.

Contract liability

A contract liability is the obligation to transfer services to a customer for which the Group has received consideration from the customer. If a customer pays consideration before the Group transfers the services to the customer, a contract liability is recognized when the payment is made. Contract liabilities are recognized as revenue when the Group performs under the contract.

Revenues outside the scope of PFRS 15

Interest

For financial assets measured at amortized cost, interest income is recognized on a time proportion basis using the applicable EIR.

For financial assets measured at FVPL, interest income is recognized using the contractual interest rate.

Dividend

Dividend income on investments is recognized when the right to receive payment is established.

Expense Recognition

Costs and operating expenses constitute costs which arise in the normal business operation.

Cost of services

This includes all expenses associated with the specific service revenue. Such costs are recognized when the related service revenue has been recognized.

Operating expenses

Operating expenses constitute costs incurred related to advertising and administering the business and are recognized when incurred.

Foreign Currency Transactions

The foreign currency-denominated monetary assets and liabilities of the Group are translated to Peso based on the Bankers Association of the Philippines (BAP) closing rate prevailing at the end of the year, and foreign currency-denominated income and expenses, based on the prevailing exchange rate at the date of transaction. Foreign exchange differences arising from restatement of foreign currency-denominated monetary assets and liabilities are recognized in profit or loss in the year in which the rates change.

Non-monetary items that are measured in terms of historical cost in a foreign currency are translated using the exchange rates as of the dates of the initial transactions. Non-monetary items measured at fair value in a foreign currency are translated using the exchange rates at the date when the fair value is determined.



Leases

Group as lessee

The Group assesses at contract inception whether a contract is or contains a lease. A contract contains a lease if it conveys the right to control the use of an identified asset for a period of time in exchange for consideration. The Group applies a single recognition and measurement approach for all leases, except for short-term leases and leases of low-value assets. The Group recognizes lease liabilities to make lease payments and ROU assets representing the right-of-use on the underlying assets.

ROU assets

The Group recognizes ROU assets (included in 'Property and Equipment') at the commencement date of the lease (i.e., the date the underlying asset is available for use). ROU assets are measured at costs, less any accumulated depreciation and impairment losses, and adjusted for any remeasurement of lease liabilities. The cost of ROU assets includes the amount of lease liabilities recognized and lease payments made at or before the commencement date less any lease incentives received. ROU assets are depreciated on a straight-line basis over the shorter of the lease term and the estimated useful lives of the assets, as follows:

	Years
Office and parking spaces	5
Transportation equipment	5

Lease liabilities

At the commencement date of the lease, the Group recognizes lease liabilities measured at the present value of lease payments to be made over the lease term. In calculating the present value of lease payments, the Group uses its incremental borrowing rate at the lease commencement date because the interest rate implicit in the lease is not readily determinable. After the commencement date, the amount of lease liabilities is increased to reflect the accretion of interest (included in 'Interest expense on lease liabilities') and reduced for the lease payments made. In addition, the carrying amount of lease liabilities is remeasured if there is a modification, a change in the lease term or a change in the lease payments.

Short-term leases and leases of low-value assets

The Group applies the short-term lease recognition exemption to its short-term leases of office spaces (i.e. those leases that have a lease term of 12 months or less from the commencement date and do not contain a purchase option). It also applies the lease of low-value assets recognition exemption to leases of office equipment that are considered to be of low value (i.e., those with value of less than ₱250,000). Lease payments on short-term leases of low-value assets are recognized as expense on a straight-line basis over the lease term.

Retirement and Other Post-employment Benefit Obligation

The Group has a noncontributory defined benefit retirement plan. In addition, the Group has agreed to pay the cash equivalent of the accumulated unused vacation leave of the employees upon separation from the Group. As of January 1, 2013, the accumulation of leave credits under the Group's leave benefit plan has been discontinued.

The net retirement benefit obligation is the aggregate of the present value of the defined benefit obligation at the end of the reporting period reduced by the fair value of plan assets (if any), adjusted for any effect of limiting a net retirement benefit obligation to the asset ceiling. The asset ceiling is the present value of any economic benefits available in the form of refunds from the plan or reductions in future contributions to the plan.



The cost of providing benefits under the defined benefit plan is actuarially determined using the projected unit credit method. Defined benefit costs comprise service cost and net interest on the net retirement benefit obligation.

Service costs which include current service costs, past service costs and gains or losses on non-routine settlements are recognized as expense in profit or loss in the consolidated statement of comprehensive income. Past service costs are recognized when plan amendment or curtailment occurs. These amounts are calculated periodically by independent qualified actuaries.

Net interest on the net retirement benefit obligation is the change during the period in the net retirement benefit obligation that arises from the passage of time which is determined by applying the discount rate based on government bonds to the net retirement benefit obligation. Net interest on the net retirement benefit obligation is recognized as expense or income in profit or loss in the consolidated statement of comprehensive income.

Remeasurements comprising actuarial gains and losses, return on plan assets and any change in the effect of asset ceiling (excluding net interest on the net retirement benefit obligation) are recognized immediately in OCI in the period in which they arise. Remeasurements are not reclassified to profit or loss in subsequent periods.

Plan assets are assets that are held by a long-term employee benefit fund. Plan assets are not available to the creditors of the Group, nor can they be paid directly to the Group. Fair value of plan assets is based on market price information. When no market price is available, the fair value of plan assets is estimated by discounting expected future cash flows using a discount rate that reflects both the risk associated with the plan assets and the maturity or expected disposal date of those assets (or, if they have no maturity, the expected period until the settlement of the related obligations). If the fair value of the plan assets is higher than the present value of the defined benefit obligation, the measurement of the resulting defined benefit asset is limited to the present value of economic benefits available in the form of refunds from the plan or reductions in future contributions to the plan.

Income Taxes

Current tax

Current tax assets and liabilities for the current and prior periods are measured at the amount expected to be recovered from or paid to the tax authorities. The tax rates and tax laws used to compute the amount are those that are enacted or substantively enacted at the reporting date. Management periodically evaluates positions taken in the tax returns with respect to situations in which applicable tax regulations are subject to interpretation and establishes provisions where appropriate.

Deferred tax

Deferred tax is provided using the balance sheet liability method on temporary differences at the reporting date between the tax bases of assets and liabilities and their carrying amounts for financial reporting purposes.

Deferred tax assets are recognized for all deductible temporary differences, carryforward of unused tax credits from the excess of minimum corporate income tax (MCIT) over the regular corporate income tax (RCIT), and unused net operating loss carryover (NOLCO), to the extent that it is probable that sufficient taxable profit will be available against which the deductible temporary differences and carry forward of unused tax credits from MCIT and unused NOLCO can be utilized.



The carrying amount of deferred tax assets is reviewed at each reporting date and reduced to the extent that it is no longer probable that sufficient taxable profit will be available to allow all or part of the deferred tax asset to be utilized. Unrecognized deferred tax assets are reassessed at each reporting date and are recognized to the extent that it has become probable that future taxable profit will allow the deferred tax asset to be recovered.

Deferred tax liabilities are recognized for all taxable temporary differences, including asset revaluations.

Deferred tax assets and liabilities are measured at the tax rates that are expected to apply to the year when the asset is realized or the liability is settled, based on tax rates and tax laws that have been enacted or substantively enacted at the reporting date.

Current tax and deferred tax relating to items recognized directly in equity is also recognized in equity and not in profit or loss.

Deferred tax assets and deferred tax liabilities are offset, if a legally enforceable right exists to offset current tax assets against current tax liabilities and the deferred taxes relate to the same taxable entity and the same tax authority.

Provisions and Contingencies

Provisions

Provisions are recognized when an obligation (legal or constructive) is incurred as a result of a past event and where it is probable that an outflow of assets embodying economic benefits will be required to settle the obligation and a reliable estimate can be made of the amount of the obligation. Provisions are reviewed at each reporting date and adjusted to reflect the current best estimate. If it is no longer probable that an outflow of resources embodying economic benefits will be required to settle an obligation, the provision is reversed.

Contingencies

Contingent liabilities are not recognized but are disclosed in the notes to consolidated financial statements unless the possibility of an outflow of resources embodying economic benefits is remote.

Contingent assets are not recognized but are disclosed in the notes to consolidated financial statements when an inflow of economic benefits is probable.

Events After the Reporting Period

Post year-end events that provide additional information about the Group's financial position at the reporting date (adjusting event) are reflected in the consolidated financial statements. Post year-end events that are not adjusting events, if any, are disclosed in the notes to consolidated financial statements when material.

Fiduciary Activities

Assets arising from fiduciary activities together with related undertakings to return such assets to customers are excluded from the consolidated financial statements where the Group acts in a fiduciary capacity such as nominee, trustee or agent.



New Pronouncements that have been issued but are not yet Effective

Pronouncements issued but not yet effective are listed below. Unless otherwise indicated, the Group does not expect that the future adoption of these pronouncements to have a significant impact on its financial statements. The Group intends to adopt the following pronouncements when they become effective:

Effective beginning on or after January 1, 2024

- Amendments to PAS 1, *Classification of Liabilities as Current or Non-current, Liabilities with Covenants*
- Amendments to PFRS 16, *Lease Liability in a Sale and Leaseback*
- Amendments to PAS 7 and PFRS 7: *Disclosures: Supplier Finance Arrangements*

Effective beginning on or after January 1, 2025

- PFRS 17, *Insurance Contracts*
- Amendments to PAS 21, *Lack of exchangeability*

Deferred effectivity

- Amendments to PFRS 10 and PAS 28, *Sale or Contribution of Assets between an Investor and its Associate or Joint Venture*

3. Significant Accounting Judgments and Estimates

The preparation of the consolidated financial statements in accordance with PFRS requires the Group to make judgments and estimates that affect the reported amounts of assets, liabilities, income and expenses and disclosure of contingent assets and contingent liabilities. Future events may occur which will cause the assumptions used in arriving at the estimates to change. The effects of any change in estimates are reflected in the consolidated financial statements as these become reasonably determinable.

Judgments and estimates are continually evaluated and are based on historical experience and other factors, including expectations of future events that are believed to be reasonable under the circumstances.

The following are the critical judgments and key assumptions that have a significant risk of material adjustment to the carrying amounts of assets and liabilities within the next financial year:

Judgments

In the process of applying the Group's accounting policies, management has made the judgments below which have the most significant effect on the amounts recognized in the consolidated financial statements:

Contingencies

The Group is currently involved in various legal proceedings and tax assessments. The estimate of the probable costs for the resolution of these claims has been developed in consultation with outside counsels handling the Group's defense in these matters and is based upon an analysis of potential results. For the tax assessments, the Group either filed a letter of protest (i.e., request for reinvestigation) and submitted supporting documents with the BIR, or the Group filed a petition for review with both the Court of Tax Appeals (CTA) and the Supreme Court, where both cases are currently pending. The Group currently does not believe that these proceedings will have a material adverse effect on its financial position. It is possible, however, that future results of operations could



be materially affected by changes in the estimates or in the effectiveness of the strategies relating to these proceedings. The information usually required by PAS 37, *Provisions, Contingent Liabilities and Contingent Assets* is not disclosed on the grounds that it may prejudice seriously the outcome of the investigations (see Note 26).

Estimates

The key assumptions concerning the future and other key sources of estimation uncertainty at the reporting date that have significant risks of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year are discussed below.

a) Provision for credit losses

The Group uses a provision matrix to calculate ECL for trade receivables. The provision matrix is based on historical loss experience adjusted for current and forward-looking information. At every reporting date, the historical observed default rates are updated and changes in the forward-looking estimates are analyzed.

The amount of ECLs is sensitive to changes in circumstances and of forecast economic conditions. The Group's historical credit loss experience and forecast of economic conditions may also not be representative of customers' actual default in the future. As of December 31, 2023 and 2022, the carrying amount of receivables and related allowance for credit losses amounted to ₱114.62 million and ₱1.27 million, respectively, and ₱123.01 million and ₱2.37 million, respectively (Note 5).

b.) Recognition of deferred tax assets

Deferred tax assets are recognized for deductible temporary differences, NOLCO and excess of MCIT over RCIT. The Group reviews the carrying amount of deferred tax assets at each reporting date and reduces it to the extent that it is no longer probable that sufficient future taxable profits will be available to allow all or part of the deferred tax assets to be utilized.

Significant management judgment is required to determine the amount of deferred tax assets that can be recognized, based upon the likely timing and the level of future taxable profits together with future tax planning strategies. The estimates of future taxable income indicate that certain temporary differences will be realized in the future. The recognized and unrecognized deferred tax assets are disclosed in Note 21.

c) Present value of retirement and other post-employment benefit obligation

The costs of retirement benefits and vacation leave benefits (payable upon separation from the Group) are determined using actuarial valuations. The actuarial valuation involves making assumptions about discount rates, salary increase rates, mortality rates and disability rates. While the Group believes that the assumptions are reasonable and appropriate, significant differences in the actual experience or significant changes in the assumptions may materially affect the retirement and other post-employment obligations.

The discount rates were determined using the market yields on Philippine government bonds with terms consistent with the expected employee benefit payout at each reporting date. The salary increase rate is the management's best estimate of future salary increase based on historical information and forecast. The mortality rate is based on publicly available mortality tables for the Philippines and is modified accordingly with estimates of mortality improvements. The disability rate is based on the published disability study of the Society of Actuaries.



As of December 31, 2023 and 2022, the present values of the Group's retirement and other post-employment benefit obligation follow (Note 20):

	2023	2022
Retirement plan	₱99,124,454	₱105,920,630
Leave benefit plan	2,792,211	2,606,781

4. Cash and Cash Equivalents

Cash and Cash Equivalents

This account consists of:

	2023	2022
Cash on hand in banks	₱17,542,398	₱36,628,848
Short-term placements	416,979,918	585,257,771
	₱434,522,316	₱621,886,419

Cash in banks includes regular current and savings deposits that earn interest at the respective bank deposit rates.

Peso-denominated placements earn interest rates ranging from 0.63% to 6.25% and from 0.05% to 5.50% in 2023 and 2022, respectively. Dollar-denominated placements earn interest rates ranging from 0.20% to 5.00% and from 0.01% to 4.63% in 2023 and 2022, respectively.

Interest income earned on cash and cash equivalents amounted to ₱22.03 million and ₱6.27 million in 2023 and 2022, respectively (Note 15).

5. Receivables

This account consists of:

	2023	2022
Trade receivables	₱105,176,008	₱115,467,296
Advances to employees - current portion	6,494,314	7,514,867
Accrued interest receivable	4,058,263	2,202,243
Others	157,718	194,136
	115,886,303	125,378,542
Allowance for credit losses (Note 11)	(1,269,822)	(2,370,385)
	₱114,616,481	₱123,008,157

Trade receivables are noninterest-bearing and are usually due by the 25th day of the following month.

Advances to employees pertain to advances made by the Parent Company for the employees' health care benefit and employee loans with maturities of three months to two years and bear interest of 0.83% per month. Interest income earned on these loans amounted to ₱0.23 million and ₱0.21 million in 2023 and 2022, respectively (Note 15). As of December 31, 2023 and 2022, advances to employees due beyond one year amounted to ₱1.47 million and ₱0.38 million, respectively (Note 11).



Movements of the allowance for credit losses, which pertains solely to trade receivables, follow:

	2023	2022
Balance at beginning of year	₱2,370,385	₱5,751,052
Recovery from credit losses (Note 11)	(1,100,563)	(3,380,667)
Balance at end of year	₱1,269,822	₱2,370,385

6. Investment Securities at Fair Value through Profit or Loss

This account consists of:

	2023	2022
Investment in government securities	₱1,350,349	₱1,513,048
Investment in money market funds	76,652,978	73,772,716
	₱78,003,327	₱75,285,764

Investment in Government Securities

As of December 31, 2023 and 2022, this account consists of investments in Philippine government securities amounting to ₱1.35 million and ₱1.51 million, respectively.

Fair value gain (loss) on investment in government securities at FVPL amounted to ₱0.04 million and (₱0.14 million) in 2023 and 2022, respectively. Interest income earned on these securities amounted to ₱0.13 million and ₱0.08 million in 2023 and 2022, respectively (Note 15).

Investment in Money Market Funds

Investment in money market funds represents investments in unit investment trust funds that invest in time deposits, special deposit accounts and other low risk short-term fixed income securities. Investment in money market funds is regarded as highly liquid and are redeemable anytime.

Fair value gains on investment in money market funds amounted to ₱2.49 million and ₱0.97 million in 2023 and 2022, respectively (Note 15).

7. Financial Assets at Amortized Cost

This account consists of:

	2023	2022
Government debt securities	₱638,366,085	₱455,115,372
Corporate debt securities	6,040,856	7,565,894
	₱644,406,941	₱462,681,266

This account consists of investments in Philippine government securities that earn EIRs ranging from 0.70% to 6.18% and from 0.70% to 4.18% in 2023 and 2022, respectively. Interest income earned on these securities, including amortization of premium and discount, amounted to ₱24.28 million and ₱8.46 million in 2023 and 2022, respectively (Note 15). All of the outstanding investment in debt securities as of December 31, 2023 and 2022 are due within one year.



The Group also has outstanding placements evidenced by promissory notes issued by RCBC Rental Corporation. These placements earn interest rates of 4.00% in 2023 and 2022. Interest income earned from these placements amounted to ₱0.27 million and ₱0.31 million in 2023 and 2022, respectively (Note 15).

The expected settlement of these placements as of December 31, 2023 and 2022 follow:

	2023	2022
Due within one year	₱740,261	₱202,885
Due beyond one year	5,300,595	7,363,009
	₱6,040,856	₱7,565,894

8. Other Current Assets

This account consists of:

	2023	2022
Restricted cash and short-term investments	₱60,646,438	₱60,646,438
Prepayments	24,183,373	32,056,186
Creditable withholding taxes	14,033,171	11,508,108
Supplies	3,987,346	4,038,541
Input value-added tax (VAT)	2,350,169	3,085,743
Security deposits (Note 26)	3,655,877	2,298,991
	108,856,374	113,634,007
Allowance for impairment losses (Note 11)	(1,169,910)	(1,169,910)
	₱107,686,464	₱112,464,097

Restricted cash and short-term investments relate to restricted cash in bank and short-term time deposits that are not available for use in operations (see Note 26).

Prepayments include prepayments for health insurance and system maintenance fees.

Input VAT represents VAT imposed on the Group by its suppliers for the acquisition of goods and services as required by Philippine taxation laws and regulations. This will be used to offset the Group's current output VAT liabilities or will be claimed as tax credits. As of December 31, 2023 and 2022, Input VAT includes remaining unutilized deferred VAT amounting to ₱735,901 and ₱1,521,156, respectively, which were incurred by the Group prior to January 1, 2022.

9. Software and System Development Costs

The composition of and movements in software and system development costs follow:

	2023	2022
Cost		
Balances at beginning of year	₱347,682,242	₱344,228,198
Additions	—	3,454,044
Balances at end of year	347,682,242	347,682,242

(Forward)



	2023	2022
Accumulated Amortization		
Balances at beginning of year	₱285,116,129	₱283,836,808
Amortization	2,945,037	1,279,321
Balances at end of year	288,061,166	285,116,129
Accumulated Impairment	55,000,513	55,000,513
Net Book Value at the End of Year	₱4,620,563	₱7,565,600

This account includes capitalized costs incurred from the acquisition, development and customization of the integrated systems used in the Group's operations.

The Group's software and development costs are reviewed at each reporting date and assessed to see if these capitalized costs are impaired. Based on management's assessment, a portion of the integrated system may not be used in light of the Group's additional business requirements with regard to system robustness, resiliency and redundancy. In 2019, PDTC recognized a provision for impairment loss of ₱55.00 million for software and development costs related to the upgrade of its integrated system.

Total amortization is allocated as follows:

	2023	2022
Cost of services (Note 16)	₱2,941,703	₱1,275,321
Operating expenses	3,334	4,000
	₱2,945,037	₱1,279,321



10. Property and Equipment

The composition of and movements in property and equipment follow:

	2023							Total
	Office Equipment	Registry, Depository and Custody Equipment	Leasehold Improvements	Furniture and Fixtures	Exchange System	Right-of-use - Asset Leasehold	Right-of-use Asset - Transportation Equipment	
Cost								
Balances at beginning of year	₱288,442,016	₱97,166,285	₱80,281,924	3,020,243	₱6,083,563	₱87,517,960	₱12,497,493	₱575,019,484
Additions	51,736,186	—	387,666	—	—	—	561,815	52,685,667
Adjustments	—	—	—	—	—	(2,662)	(1,423,141)	(1,425,803)
Balances at end of year	340,178,202	97,166,285	80,669,590	3,030,243	6,083,563	87,515,298	11,636,167	626,279,348
Accumulated Depreciation and Amortization								
Balances at beginning of year	250,216,252	97,166,285	69,562,754	2,858,507	6,083,563	53,208,961	5,335,646	484,431,968
Depreciation and amortization	18,625,836	—	7,707,606	118,655	—	19,069,722	1,946,619	47,468,438
Adjustments	—	—	—	—	—	—	(181,744)	(181,744)
Balances at end of year	268,842,088	97,166,285	77,270,360	2,977,162	6,083,563	72,278,683	7,100,521	531,718,662
Net Book Value at End of Year	₱71,336,114	₱—	₱3,399,230	₱53,081	₱—	₱15,236,615	₱4,535,646	₱94,560,686

	2022							Total
	Office Equipment	Registry, Depository and Custody Equipment	Leasehold Improvements	Furniture and Fixtures	Exchange System	Right-of-use - Asset Leasehold	Right-of-use Asset - Transportation Equipment	
Cost								
Balances at beginning of year	₱280,440,534	₱97,166,285	₱80,256,567	₱3,020,383	₱6,083,563	₱79,291,644	₱13,241,178	₱559,500,154
Additions	8,001,482	—	25,357	9,860	—	21,427,205	1,862,300	31,326,204
Adjustments	—	—	—	—	—	(13,200,889)	(2,605,985)	(15,806,874)
Balances at end of year	288,442,016	97,166,285	80,281,924	3,030,243	6,083,563	87,517,960	12,497,493	575,019,484
Accumulated Depreciation and Amortization								
Balances at beginning of year	231,604,672	97,166,285	61,942,910	2,686,965	6,083,563	47,333,414	5,396,939	452,214,748
Depreciation and amortization	18,611,580	—	7,619,844	171,542	—	19,076,436	2,371,162	47,850,564
Adjustments	—	—	—	—	—	(13,200,889)	(2,432,455)	(15,633,344)
Balance at end of year	250,216,252	97,166,285	69,562,754	2,858,507	6,083,563	53,208,961	5,335,646	484,431,968
Net Book Value at End of Year	₱38,225,764	₱—	₱10,719,170	₱171,736	₱—	₱34,308,999	₱7,161,847	₱90,587,516



Total depreciation and amortization are allocated as follows:

	2023	2022
Cost of services (Note 16)	₱42,008,941	₱42,344,144
Operating expenses	5,459,497	5,506,420
	₱47,468,438	₱47,850,564

As of December 31, 2023 and 2022, the cost of fully depreciated property and equipment still in use amounted to ₱341.37 million and ₱327.10 million, respectively.

11. Goodwill, Other Noncurrent Assets and Allowance for Credit and Impairment Losses

Goodwill

Goodwill amounting to ₱4.08 million as of December 31, 2023 and 2022 represents the excess of the acquisition cost over the fair value of the net identifiable assets of PDTC when it was acquired in 2004. PDTC has been identified as the CGU.

Other Noncurrent Assets

Other noncurrent assets consist of:

	2023	2022
Deferred input VAT	₱6,217,348	₱5,920,965
Deposits	4,065,444	5,808,980
Advances to employees - noncurrent portion (Note 5)	1,466,379	384,292
Others	239,815	239,815
	₱11,988,986	₱12,354,052

Deposits represent the noncurrent portion of security deposits (Note 26) and other deposits, net of allowance for impairment loss amounting to ₱5.67 million as of December 31, 2023 and 2022.

Allowance for Credit and Impairment Losses

Movements in the allowance for credit and impairment losses follow:

	2023	2022
Balance at beginning of year		
Receivables	₱2,370,385	₱5,751,052
Other current assets	1,169,910	1,169,910
Other noncurrent assets	5,666,150	5,666,150
Software and system development cost	55,000,513	55,000,513
	64,205,958	67,587,625
Recovery from credit and impairment losses (Notes 8 and 15)	(1,100,563)	(3,380,667)
Balance at end of year		
Receivables (Note 5)	1,269,822	2,370,385
Other current assets (Note 8)	1,169,910	1,169,910
Other noncurrent assets	5,666,150	5,666,150
Software and system development cost (Note 9)	55,000,513	55,000,513
	₱63,105,395	₱64,205,958



12. Accrued Expenses and Other Payables

This account consists of:

	2023	2022
Accruals for:		
Maintenance fees	₱19,713,632	₱13,231,762
Taxes and licenses	14,312,844	14,306,017
Professional fees	12,561,912	9,591,853
Outside services	6,743,615	8,204,537
SEC transaction fees	2,500,000	2,500,000
Utilities	912,622	783,353
Technology fees	—	9,839,041
VAT payable	6,448,875	2,421,871
Withholding tax payable	3,487,712	3,783,862
Due to brokers	2,005,224	1,989,665
Others	20,634,846	17,458,002
	₱89,321,282	₱84,109,963

Accrual for 'Technology' pertains to purchase of delivered equipment and services (see Note 22). Other liabilities and provisions include credit balances of customers, payable to SSS, Pag-ibig and Philhealth, and provisions for other probable losses (see Notes 16 and 26).

13. Equity

Capital Stock

As of December 31, 2023 and 2022, this account consists of:

	Number of Shares	Amount
Common Shares – ₱100 par value		
Authorized	7,500,000	₱750,000,000
Issued and outstanding	6,250,000	625,000,000

Retained Earnings

In the consolidated financial statements, the accumulated retained earnings of the subsidiaries amounting to ₱557.12 million and ₱541.82 million as of December 31, 2023 and 2022, respectively, are not available for dividend declaration by the Parent Company until declared by the respective subsidiaries.

As of December 31, 2023 and 2022, the financial information of PDTC, which has noncontrolling interest, follows:

	2023	2022
Total assets	₱983,867,181	₱989,762,282
Total liabilities	137,289,160	153,841,669
Service revenue	816,242,321	825,185,402
Other income	31,990,557	11,311,296
Net income	352,034,505	352,495,316



Dividend Payments

In 2022, the BOD of PDEx approved and authorized the declaration of cash dividends amounting to ₱33.94 million, to the shareholder on record as of December 31, 2022.

In 2023 and 2022, the BOD of PDTC approved and authorized the declaration of cash dividends amounting to ₱341.63 million and ₱347.21 million, respectively, with share of the non-controlling interests amounting to ₱7.79 million and ₱7.92 million, respectively.

In 2023 and 2022, the BOD of the Parent Company approved and authorized the declaration of cash dividends amounting to ₱350.00 million each year to the shareholders on record as of December 31, 2022 and 2021. The total amount of ₱350.81 million and ₱343.57 million were paid on March 31, 2023 and March 31, 2022, respectively.

14. Service Revenue and Contract Liabilities

Service revenue pertains to revenue from contracts with customers and consists of the following:

	2023	2022
PDTC		
Depository securities account fees	₱552,469,865	₱540,008,489
Transaction fees	197,673,257	206,483,053
Registry - maintenance fees	64,796,429	76,677,525
Collateral management fees	1,302,770	2,016,334
PDEx		
Transaction fees	136,888,551	96,458,111
Listing, maintenance and data services	30,401,122	31,368,427
	983,531,994	953,011,939
Reversal of discount (provision for) discounts on		
PDEx's transaction fees	(12,598,388)	3,970,573
	₱970,933,606	₱956,982,512

Contract liabilities pertain to cash received that is yet to be recognized as revenue. This account primarily pertains to unearned revenue from initial listing fees.

Changes in the Group's contract liabilities in 2023 and 2022 follows:

	2023	2022
Balance as at beginning of year	₱9,297,826	₱8,589,120
Additions	2,000,000	4,700,000
Amortization (revenue recognized)	(3,875,050)	(3,991,294)
Balance as at end of year	₱7,422,776	₱9,297,826

Revenues included in the beginning balance of contract liabilities amounting to ₱3.55 million and ₱3.35 million was recognized in 2023 and 2022, respectively.



The current and non-current portion of the Company's Contract Liabilities is as follows:

	2023	2022
Current portion	₱2,868,719	₱3,552,821
Non-current portion	4,554,057	5,745,005
	₱7,422,276	₱9,297,826

15. Other Income

This account consists of:

	2023	2022
Interest income on:		
Investment securities at amortized cost (Note 7)	₱23,670,885	₱9,289,624
Cash in banks, short term placements and receivables (Notes 4 and 5)	22,033,574	6,266,510
Investment securities at FVPL (Note 6)	1,053,592	82,246
Others	4,599,435	6,802,958
	₱51,357,486	₱22,441,338

Others include fair value gains on FVPL investments, foreign exchange, revenue from printing stock certificates and statements of account and penalties charged to customers who did not pay their dues on time which are not individually significant.

16. Cost of Services

This account consists of:

	2023	2022
Salaries and employee benefits (Note 17)	₱104,842,403	₱110,443,928
Systems maintenance	79,672,135	66,521,364
Outside services	79,503,231	73,426,247
Taxes and licenses	60,851,886	60,302,295
Depreciation and amortization (Notes 9 and 10)	44,950,644	43,619,465
Professional fees	32,062,917	34,772,458
Utilities	17,430,119	16,386,433
Repairs and maintenance	11,824,625	16,965,508
Insurance	5,916,956	5,782,742
SEC transaction fees	5,000,000	5,000,000
Rent (Notes 19 and 26)	1,714,932	2,853,236
Bank charges	1,638,693	1,671,128
Transportation and travel	1,599,270	290,923
Meetings and conferences	1,464,311	1,018,769
Advertising and promotions	1,080,215	669,019
Certificate handling fees	725,028	407,169

(Forward)



	2023	2022
Training	₱667,444	₱1,194,575
Supplies	523,229	300,138
Representations	26,678	105,037
Others	1,340,004	752,171
	₱452,834,720	₱442,482,605

Outside services includes payment to a third-party service provider for the printing, delivery and courier of the statement of accounts, credit advices and securities receipt confirmations to bondholders of Registry clients.

17. Salaries and Employee Benefits

This account consists of:

	2023	2022
Salaries and wages	₱109,204,792	₱116,751,852
Retirement benefits (Note 20)	9,762,983	11,149,345
Social security costs	3,896,014	3,155,941
Health insurance	2,908,906	2,453,701
Fringe benefit tax	528,661	632,947
Leave benefits (Note 20)	145,207	142,670
Others	2,839,940	1,944,720
	₱129,286,503	₱136,231,177

Others include meal and transportation, uniforms and other employee related activities which are individually immaterial.

Total salaries and employee benefits are allocated as follows:

	2023	2022
Cost of services (Note 16)	₱104,842,403	₱110,443,928
Operating expenses	24,444,100	25,787,249
	₱129,286,503	₱136,231,177

18. Other Operating Expenses

This account consists of meetings, representation and other general and administrative expenses.

Provision for impairment, credit and other probable losses under Operating Expenses consists of provision or recovery from expected credit loss on trade receivables, impairment and other provisions for probable losses (see Notes 5, 11 and 26)



19. Leases

The Group is a lessee under non-cancellable leases covering the Group's office and parking spaces. The Group also leases cars for certain officers. The lease contracts are for periods ranging from one (1) to five (5) years and some are renewable at the Group's option under certain terms and conditions. Some lease contracts include escalation clauses, which bear an annual rent increase of 5.00%. As of December 31, 2023 and 2022, the Group has no contingent rent payable.

On September 14, 2021, the PDS Group entered into a new lease agreement with its lessor extending the existing lease contract that will end on December 31, 2021. The new lease agreement is effective on January 1, 2022, with a term of 2 years and renewable for another year at the Company's option under certain terms and conditions. The extension option has an escalation rate of 5% from the lease rate of the recent preceding year. The Company further extended the lease agreement for another 2 years, effective from January 1, 2024.

As of December 31, 2023 and 2022, the carrying amount of lease liabilities amounted to ₱17.81 million and ₱41.03 million, respectively. The movements of lease liabilities are disclosed in Note 25.

The following are the amounts recognized in the 2023 and 2022 profit or loss:

	2023	2022
Amortization expense of right-of-use assets included under property and equipment (Note 10)	₱21,016,341	₱21,447,598
Interest expense on lease liabilities	2,451,735	3,468,052
Expenses relating to short-term leases (included in cost of services) (Note 16)	1,714,932	2,853,236
Expenses relating to short-term leases (included in operating expenses)	394,059	657,836
Loss (gain) on lease modification (included in other income) and other adjustment	69,980	328,201
	₱25,647,047	₱28,754,923

Shown below is the maturity analysis of the undiscounted lease payments as of December 31, 2023 and 2022:

	2023	2022
Within 1 year	₱15,514,037	₱26,223,137
More than 1 year to 2 years	4,027,125	15,750,496
More than 2 years to 3 years	980,254	4,042,852
More than 3 years to 4 years	269,393	1,059,413
More than 5 years	120,226	230,084



20. Retirement and Other Post-Employment Benefit Plan

The Group has a funded and noncontributory defined benefit retirement plan covering substantially all of its officers and regular employees. Under this retirement plan, all covered officers and employees are entitled to cash benefits after satisfying certain age and service requirements. The Group's annual contribution to the retirement plan consists of a payment covering the current service cost, amortization of the unfunded actuarial accrued liability and interest on such unfunded actuarial liability.

The existing regulatory framework, Republic Act 7641, *Retirement Pay Law*, requires companies with at least ten employees to pay retirement benefits to qualified private sector employees in the absence of any retirement plan in the entity, provided however, that the employee's retirement benefits under any collective bargaining and other agreements shall not be less than those provided under the law. The law does not require minimum funding of the plan.

In addition, the Group has agreed to pay the cash equivalent of the accumulated unused vacation leave of the employees upon separation from the Group. As of January 1, 2013, the accumulation of leave credits under the Group's leave benefit plan has been discontinued.

The amounts of retirement and other post-employment benefit obligation as of December 31, 2023 and 2022 recognized in the consolidated statements of financial position follow:

	Retirement Plan		Leave Benefit Plan	
	2023	2022	2023	2022
Present value of obligation	₱99,124,454	₱105,920,630	₱2,792,211	₱2,606,781
Fair value of plan assets	87,246,294	87,980,685	—	—
Benefit obligation	₱11,878,160	₱17,939,945	₱2,792,211	₱2,606,781

Changes in the present value of the defined benefit obligation recognized in the consolidated statements of financial position follow:

	Retirement Plan		Leave Benefit Plan	
	2023	2022	2023	2022
Balances at beginning of year	₱105,920,630	₱109,933,729	₱2,606,781	₱3,860,259
Current service cost	9,036,128	9,911,689	—	—
Interest cost	6,680,411	4,982,121	145,207	142,670
Benefits paid	(19,817,072)	(3,001,773)	(836,305)	—
Remeasurement losses (gains) due to:				
Experience adjustments	(2,727,172)	6,642,818	876,528	(1,396,148)
Changes in financial assumptions	31,529	(22,547,954)	—	—
Balances at end of year	₱99,124,454	₱105,920,630	₱2,792,211	₱2,606,781

The defined benefit obligations are allocated among the Parent Company and its subsidiaries as of December 31, 2023 and 2022 as follows:

	Retirement Plan		Leave Benefit Plan	
	2023	2022	2023	2022
PDTC	₱70,327,382	₱71,672,714	₱2,098,428	₱1,931,978
PDEx	28,036,874	33,488,328	668,009	653,881
Parent Company	760,198	759,588	25,774	20,923
	₱99,124,454	₱105,920,630	₱2,792,211	₱2,606,781



Changes in the fair value of the retirement plan assets for 2023 and 2022 follow:

	2023	2022
Balances at beginning of year	₱87,980,685	₱72,943,648
Contributions	14,456,116	18,868,506
Interest income	5,953,556	3,744,465
Remeasurements	(1,326,991)	(4,574,161)
Benefits paid	(19,817,072)	(3,001,773)
Balances at end of year	₱87,246,294	₱87,980,685

The major categories of the plan assets as of December 31, 2023 and 2022 follow:

	2023	2022
Cash and cash equivalents	₱16,752,298	₱25,966,411
Investment in government securities	61,780,951	52,725,840
Equity securities:		
Holding companies	2,919,330	3,169,641
Real estate	1,976,833	1,995,840
Telecommunications	901,601	1,226,400
Power and utilities	832,320	621,600
Food	804,429	869,749
Bank	592,658	679,864
Manufacturing	—	131,920
Accrued interest and other receivables	788,461	607,258
Other assets	4,366	52,321
Trust fees payable	(106,953)	(66,159)
	₱87,246,294	₱87,980,685

The Group's plan assets are carried at fair value. All equity and debt instruments held have quoted prices in an active market. The fair value of other assets and liabilities, which include deposits in banks, accrued interest and other receivables and trust fees payable, approximate their carrying amounts due to the short-term nature of these accounts.

The above plan assets are allocated among the Parent Company and its subsidiaries as of December 31, 2023 and 2022 as follows:

	2023	2022
PDTC	₱61,460,888	₱59,174,976
PDEx	25,138,627	28,156,664
Parent Company	646,779	649,045
	₱87,246,294	₱87,980,685

Under PFRS, certain post-employment benefit plans are considered as related parties. The Group's retirement plan is in the form of a trust administered by a trustee bank. The Group does not have transactions with its retirement plan other than the normal contributions and benefits payment coming from the retirement plan.



The Group expects to contribute ₱11.09 million to the plan in 2024 as follows:

PDTC	₱7,339,600
PDEx	3,676,745
Parent Company	77,906
	₱11,094,251

Shown below is the maturity analysis of the undiscounted benefit payments as at December 31, 2023 and 2022:

	2023	2022
Less than one year	₱5,720,809	₱15,224,946
One to less than five years	64,436,069	69,538,601
Five to less than ten years	75,348,775	50,032,427
Ten to less than fifteen years	50,384,829	110,989,482
Fifteen years to less than twenty years	52,234,319	56,491,816
Twenty years and above	89,647,613	115,679,920

The amounts of retirement benefit expense included in 'Salaries and employee benefits' in profit or loss in 2023 and 2022 amounted to ₱9,762,983 and ₱11,149,345, respectively (Note 17).

The cost of defined benefit retirement plans, as well as the present value of the benefit obligation, are determined using actuarial valuations. The actuarial valuation involves making various assumptions. The principal assumptions used for the retirement plan and the leave benefit plan are shown below:

Retirement Plan

Actuarial Assumptions				
	Date of Actuarial Valuation Report	Average Remaining Working Life	Salary Rate Increase	Discount Rate
Parent Company	December 31, 2023	7	5.00%	6.04%
PDEx	December 31, 2023	7	5.00%	6.08%
PDTC	December 31, 2023	7	5.00%	6.07%

Actuarial Assumptions				
	Date of Actuarial Valuation Report	Average Remaining Working Life	Salary Rate Increase	Discount Rate
Parent Company	December 31, 2022	7	6.00%	7.12%
PDEx	December 31, 2022	7	6.00%	7.20%
PDTC	December 31, 2022	7	6.00%	7.12%

Leave Benefit Plan

Actuarial Assumptions				
	Date of Actuarial Valuation Report	Average Remaining Working Life	Salary Rate Increase	Discount Rate
Parent Company	December 31, 2023	7	5.00%	5.99%
PDEx	December 31, 2023	7	5.00%	6.01%
PDTC	December 31, 2023	7	5.00%	5.98%



	Date of Actuarial Valuation Report	Actuarial Assumptions		
		Average Remaining Working Life	Salary Rate Increase	Discount Rate
Parent Company	December 31, 2022	7	6.00%	6.65%
PDEx	December 31, 2022	7	6.00%	6.91%
PDTC	December 31, 2022	7	6.00%	6.56%

The actual return on plan assets of the Group in 2023 and 2022 amounted to ₱4.63 million and ₱6.39 million, respectively.

The retirement benefit obligation is subject to several key assumptions. Below is a sensitivity analysis, which has been determined based on reasonably possible changes of each significant assumption on the retirement benefit obligation as of the end of the reporting period, assuming all other assumptions were held constant:

Sensitivity Analysis of the Present Value of the Obligation (PVO) to Changes in Assumptions				
	Increase of 1%	Actual	Decrease of 1%	
December 31, 2023				
Discount rate	₱93,152,031	₱99,124,454	₱105,851,812	
Salary increase rate	106,277,605	99,124,454	92,667,697	
December 31, 2022				
Discount rate	₱99,719,140	₱105,920,630	₱112,898,045	
Salary increase rate	113,337,311	105,920,630	99,224,778	

As of December 31, 2023 and 2022, the average duration of the defined benefit obligation follows (in years):

	2023	2022
Parent Company	7.55	8.41
PDEx	11.38	10.68
PDTC	8.18	8.62

21. Income Taxes

Income taxes include the corporate income tax, as discussed below, and final taxes paid at the rate of 20.00% and 15.00% on gross interest income from peso and foreign currency cash deposits and short-term placements, respectively. These income taxes, as well as the deferred tax benefits and provisions, are presented as 'Provision for income tax' in the consolidated statements of comprehensive income.

Provision for income tax consists of:

	2023	2022
Current:		
RCIT	₱106,959,603	₱113,129,078
Final	7,918,778	2,815,506
MCIT	677,451	242,622
Deferred	2,730,310	887,615
	₱118,286,142	₱117,074,821



In 2023 and 2022, provision for deferred income tax recognized directly against OCI amounted to ₱0.13 million and ₱2.00 million, respectively.

The components of the Group's net deferred tax assets recognized in the consolidated statements of financial position as of December 31, 2023 and 2022 are as follows:

	2023	2022
Deferred tax assets:		
Allowance for impairment losses	₱14,360,061	₱14,635,202
Accrued retirement and leave benefits	7,876,319	9,058,401
Lease liabilities	4,453,416	10,245,227
Contract liabilities	1,855,694	2,324,457
	28,545,490	36,263,287
Deferred tax liabilities:		
Right-of-use assets	4,943,608	10,342,615
Unrealized trading gains	1,040,876	453,419
Others	224,423	268,290
	6,208,907	11,064,324
	₱22,336,583	₱25,198,963

As of December 31, 2023 and 2022, the Group did not recognize deferred tax assets on certain temporary differences of the Parent Company and PDEX as the management believes that it is not probable that the tax benefits of these temporary differences will be realized in the future.

The details of unrecognized deductible temporary differences are shown below:

	2023	2022
Deductible temporary differences:		
NOLCO	₱34,594,138	₱41,733,311
Allowance for credit and impairment losses	5,666,150	5,666,150
Excess of MCIT over RCIT	948,399	270,947
Accrued retirement and leave benefits	104,298	104,298
	₱41,312,984	₱47,774,706

The Parent Company and PDEX have incurred NOLCO which can be claimed as deduction from the regular taxable income for the next three (3) consecutive taxable years immediately following the year of such loss, as follows:

Inception Year	Amount	Used	Expired	Balance	Expiry Year
2020	₱5,239,513	₱—	₱—	₱5,239,513	2025*
2021	7,100,431	—	—	7,100,431	2026*
2022	20,966,316	(4,865,696)	—	16,100,620	2025
2023	6,153,574	—	—	6,153,574	2026
	₱39,459,834	(₱4,865,696)	₱—	₱34,594,138	

*The NOLCO incurred in 2021 and 2020 can be carried over as a deduction from gross income for the next five consecutive taxable years from the year it was incurred pursuant to Revenue Regulations No. 25-2020 (RR 25-2020), implementing Section 4(bbbb) of Republic Act No. 11494 or the Bayanihan to Recover as One Act.



MCIT:

Inception Year	Amount	Used	Expired	Balance	Expiry Year
2020	₱21,212	₱—	₱—	₱21,212	2025
2021	7,114	—	—	7,114	2024
2022	242,622	—	—	242,622	2025
2023	677,451	—	—	677,451	2026
	₱948,399	₱—	₱—	₱948,399	

A reconciliation of the statutory income tax to the provision for income tax follows:

	2023	2022
Statutory income tax	₱118,807,761	₱111,655,202
Tax effects of:		
Changes in unrecognized deferred assets	1,107,341	3,452,797
Income subjected to final tax	(2,377,902)	(1,346,429)
Nondeductible expenses	730,090	1,852,061
Expired NOLCO and MCIT	—	1,459,751
Others	18,852	1,439
Provision for income tax	₱118,286,142	₱117,074,821

22. Related Party Transactions

Parties are considered to be related if one party has the ability, directly or indirectly, to control the other party or to exercise significant influence over the other party in making financial and operating decisions. Parties are also considered to be related if they are subject to common control or common significant influence. Related parties may be individuals or corporate entities.

Key Management Personnel Compensation

The remuneration of key management personnel in 2023 and 2022 follows:

	2023	2022
Salaries and wages	₱19,358,590	₱27,678,078
Retirement benefits	1,759,805	2,611,842
Leave benefits	29,431	32,302
	₱21,147,826	₱30,322,222



23. Financial Instruments and Fair Value Measurement

Shown below are the Group's assets and liabilities as they appear in the consolidated statements of financial position, which are divided into financial and nonfinancial items, with the financial items being mapped to the categories of financial instruments under PFRS 9:

	2023				
	Financial Assets at Amortized Cost	Financial Assets at FVPL	Other Financial Liabilities	Nonfinancial Items	Total
ASSETS					
Cash and cash equivalents	₱434,522,316	₱—	₱—	₱—	₱434,522,316
Receivables	114,616,481	—	—	—	114,616,481
Investment securities at fair value through profit or loss	—	78,003,327	—	—	78,003,327
Financial assets at amortized cost	644,406,941	—	—	—	644,406,941
Other current assets	64,302,314	—	—	43,384,150	107,686,464
Software and system development costs	—	—	—	4,620,563	4,620,563
Property and equipment	—	—	—	94,560,686	94,560,686
Deferred tax assets	—	—	—	22,336,583	22,336,583
Goodwill	—	—	—	4,084,521	4,084,521
Other noncurrent assets	5,771,638	—	—	6,217,348	11,988,986
Total Assets	₱1,263,619,690	₱78,003,327	₱—	₱175,203,851	₱1,516,826,868
LIABILITIES					
Accrued expenses and other payables	₱—	₱—	₱142,819,631	₱28,362,243	₱171,181,874
Income tax payable	—	—	—	21,683,170	21,683,170
Retirement and other post-employment benefit obligation	—	—	—	14,670,371	14,670,371
Contract liabilities	—	—	—	7,422,776	7,422,776
Lease liabilities	—	—	17,813,661	—	17,813,661
Total Liabilities	₱—	₱—	₱160,633,292	₱72,138,560	₱232,771,852



	2022				
	Financial Assets at Amortized Cost	Financial Assets at FVPL	Other Financial Liabilities	Non Financial Items	Total
ASSETS					
Cash and cash equivalents	₱621,886,419	₱—	₱—	₱—	₱621,886,419
Receivables	123,008,157	—	—	—	123,008,157
Investment securities at fair value through profit or loss	—	75,285,764	—	—	75,285,764
Financial assets at amortized cost	462,681,266	—	—	—	462,681,266
Other current assets	62,945,429	—	—	49,518,668	112,464,097
Software and system development costs	—	—	—	7,565,600	7,565,600
Property and equipment	—	—	—	90,587,516	90,587,516
Deferred tax assets	—	—	—	25,198,963	25,198,963
Goodwill	—	—	—	4,084,521	4,084,521
Other noncurrent assets	6,433,087	—	—	5,920,965	12,354,052
Total Assets	₱1,276,954,358	₱75,284,764	₱—	₱182,876,233	₱1,535,116,355
LIABILITIES					
Accrued expenses and other payables	₱—	₱—	₱134,337,520	₱24,651,360	₱158,988,880
Income tax payable	—	—	—	20,718,222	20,718,222
Retirement and other post-employment benefit obligation	—	—	—	20,546,727	20,546,727
Contract liabilities	—	—	—	9,297,826	9,297,826
Lease liabilities	—	—	41,025,482	—	41,025,482
Total Liabilities	₱—	₱—	₱175,363,002	₱75,214,135	₱250,577,137



The table below show the Group's financial assets and their fair value hierarchy:

2023				
	Carrying Value	Level 1	Level 2	Level 3
Assets measured at fair value:				
Financial assets at FVPL:				
Investment in money market funds	P76,652,978	P–	P76,652,978	P–
Government securities	1,350,349	1,350,349	–	–
Assets for which fair values are disclosed:				
Financial assets at amortized cost:				
Security deposits	7,721,320	–	–	7,335,332
Government securities	638,366,084	123,860,347	449,837,600	–
Notes receivable	6,040,856	–	–	6,040,856
2022				
	Carrying Value	Level 1	Level 2	Level 3
Assets measured at fair value:				
Financial assets at FVPL:				
Investment in money market funds	P75,284,764	P–	P75,284,764	P–
Government securities	1,513,048	1,513,048	–	–
Assets for which fair values are disclosed:				
Financial assets at amortized cost:				
Security deposits	8,347,786	–	–	7,237,398
Government securities	455,152,662	89,670,851	365,481,811	–
Notes receivable	7,565,894	–	–	7,565,894

In 2023 and 2022, there were no transfers between fair value levels.

The methods and assumptions used by the Group in estimating the fair values of its financial instruments as of December 31, 2023 and 2022 follow:

Cash and cash equivalents, Receivables, and Accrued expenses and other payables – Carrying amounts approximate fair values due to the relatively short-term maturity of these instruments.

Financial assets at FVPL – Fair values are based on quoted market prices for investment in government securities and based on published net asset value per unit for investment in money market funds.

Investments in debt securities – For investments in government securities, fair values are based on quoted market prices. For notes receivable, fair values are based on discounted value of future cash flows using current lending rates for similar types of instruments.

Security deposits – Fair values are based on discounted value of future cash flows using current lending rates for similar types of instruments.



24. Financial Risk Management Policies and Objectives

The Group does not engage in trading activities nor take positions in equity, foreign exchange and securities other than investment in government and private debt securities in the course of managing its cash and liquidity position and purchase of foreign exchange to service some of its foreign currency-denominated obligations.

The following provides the overall risk management principles and process that govern the risk management of the Group.

Risk Management Structure

The Group's risk management process hinges on the following principles:

- The BOD establishes the Group's risk philosophy and culture, approves the risk policies and sets the risk appetite.
- The Executive Committee (Excom) is accountable to the BOD for the risks taken by the business.
- The risk takers of each business initially identify and evaluate market, product or service opportunities, subject to further evaluation of the Risk Management Group (RMG) and other specific risk function groups, such as Product Committee and Legal and Compliance, for the attendant risks.
- Management of risks is done in a coordinated manner within the Group.
- The RMG is an independent function reporting to the Risk Oversight Committee (ROC) where the Group's Chief Risk Officer (CRO) is a member.

Risk Management Organization

The Group's risk management organization consists of the following:

1. The BOD is the risk policy maker and approving authority of the Group. The BOD has created and appointed Standing Committees with at least one independent director to assist in performing its functions. Standing Committees include the following:
 - a. Risk Oversight Committee
The ROC is a board-level committee that sets the policy standards and guidelines for the management and assessment of group-wide risk, with the ultimate objective of ascertaining that risk exposures of the Group fall within the capital collectively available and allocated to the different entities.
 - b. Audit Committee
The Audit Committee is the oversight of the financial reporting process, internal control process and hiring and evaluating the performance of external auditors.
 - c. Information Technology Steering Committee
The Information Technology Steering Committee (ITSC) has oversight of IT Group to ensure delivery of service to all business units, and institute appropriate actions to ensure the achievement of desired results. It approves the IT Strategic Plans, ensures management of IT risks, as well as regulatory compliance, among others.
 - d. Trust Committee
The Trust Committee formulates the general policies and guidelines on the management of trust and other fiduciary accounts. It reviews and approves the acceptance and closing of trust and other fiduciary accounts and adopts measures to ensure the independence of PDTC's trust function.



2. The RMG defines the control environment framework in line with regulations and internal policies. It identifies, evaluates and measures risks and exposures attendant to the products and services provided by each company in the group. It establishes standards to monitor and report compliance with its recommended limits. The RMG supports the business to implement remedial actions.

Complementing the RMG is the Product Committee that reviews existing and proposed products to ensure that all risk-taking personnel have properly identified and analyzed the relevant risks. It recommends to the Excom the approval of a proposed product.

3. The Operations Support, Legal and Compliance, Financial Control and the Audit groups support the Group's risk management function in risk control. They operate independently of the business units and the risk management functions.
 - a. Operations Support group performs risk reporting, through generation of risk reports, and the control process of risk management.
 - b. Legal and Compliance group ensures that all laws and regulations are complied with and contracts entered into by the Group are enforceable.
 - c. Financial Control group ensures that expenses and revenues are within the budget and properly approved and monitored.
 - d. Audit group independently reviews and tests the control framework and report to management about the adequacy and effectiveness of the control environment.
4. The risk takers are the officers of respective business units handling the products. These business units identify market or product opportunities and sponsor product or service developments or proposals.

Credit Risk

Credit risk is the risk of loss arising from the default or failure of counterparties to meet their contractual obligations to the Group. The Group's counterparties include its banks, trading participants and depository, custody and registry clients.

The degree of credit risk depends on the credit standing of the counterparty and on the duration, amount and nature of the exposure that the Group has on that counterparty. The Group manages and controls its credit exposure to its clients by actively monitoring the counterparty standing, and the size and age of the Group's receivables from the counterparty.

In addition, the majority of PDTC's clients are availing of the auto-debit facility. The auto debit facility is an arrangement whereby the participants authorize the respective companies of the Group to debit their designated cash account for the payment of fees based on invoices sent by the PDTC on the 25th day of the following month.

Maximum exposure to credit risk

The Group's maximum exposure to credit risk, without taking into account any collateral held or other credit enhancements, equals the carrying values of financial assets.

Collateral and other credit enhancements

The amount and type of collateral required depends on the assessment of the credit risk of the borrower or counterparty. As of December 31, 2023 and 2022, the Group has no collateral held and other credit enhancements.



Risk concentrations of the maximum exposure to credit risk

Concentrations arise when a number of counterparties are engaged in similar business activities or activities in the same geographic region or have similar economic features that would cause their ability to meet contractual obligations to be similarly affected by changes in economic, political or other conditions. Concentrations indicate the relative sensitivity of the Group's performance to developments affecting a particular industry or geographical location.

The tables below show the industry sector analysis of the Group's financial assets with credit risk exposure as of December 31, 2023 and 2022.

December 31, 2023							
	Receivables	Investment securities*	Investment in money market funds**	Cash and cash equivalents	Other Current assets	Security deposits	Total
Government and GOCCs	₱4,311,436	₱639,716,433	₱-	₱-	₱-	₱-	₱644,027,869
Banks and financial institution	77,828,641	6,040,856	76,652,978	434,522,316	60,646,438	5,912,838	661,604,067
Financial service and insurance activities	18,371,809	-	-	-	-	-	18,371,809
Real estate	2,268,058	-	-	-	-	2,048,298	4,316,356
Investment and holding company	2,561,637	-	-	-	-	-	2,561,637
Manufacturing	1,787,515	-	-	-	-	-	1,787,515
Power, gas and oil	1,646,824	-	-	-	-	-	1,646,824
Entertainment and telecommunications	41,852	-	-	-	-	-	41,852
Others	8,534,910	-	-	-	-	-	8,34,910
	117,352,682	645,757,289	76,652,978	434,522,316	60,646,438	7,961,136	1,342,892,839
Allowance for credit losses (Note 5)	(1,269,822)	-	-	-	-	-	(1,269,822)
	₱116,082,860	₱645,757,289	₱76,652,978	₱434,522,316	₱60,646,438	₱7,961,136	₱1,341,623,017

*included in Financial assets at amortized cost

**included in Investments securities at fair value through profit or loss

December 31, 2022							
	Receivables	Investment securities*	Investment in money market funds**	Cash and cash equivalents	Other Current assets	Security deposits	Total
Government and GOCCs	₱2,393,489	₱366,866,915	₱-	₱-	₱-	₱-	₱369,260,404
Banks and financial institution	82,250,527	92,303,775	73,772,716	657,454,091	60,646,438	6,357,783	972,785,330
Financial service and insurance activities	20,088,211	-	-	-	-	-	20,088,211
Real estate	2,527,798	-	-	-	-	1,999,259	4,527,057
Investment and holding company	4,287,857	-	-	-	-	-	4,287,857
Manufacturing	2,630,160	-	-	-	-	-	2,630,160
Power, gas and oil	1,979,156	-	-	-	-	-	1,979,156
Agriculture	668,456	-	-	-	-	-	668,456
Entertainment and telecommunications	117,409	-	-	-	-	-	117,409
Infrastructure	71,274	-	-	-	-	-	71,274
Others	9,200,919	-	-	-	-	-	9,200,919
	126,215,256	459,170,690	73,772,716	657,454,091	60,646,438	8,357,042	1,385,616,233
Allowance for credit losses (Note 5)	(2,384,914)	-	-	-	-	-	(2,384,914)
	₱123,830,342	₱459,170,690	₱73,772,716	₱657,454,091	₱60,646,438	₱8,357,042	₱1,383,231,319

*included in Financial assets at amortized cost

**included in Investments securities at fair value through profit or loss

The Group utilizes an internal credit rating system based on its assessment of the quality of its financial assets. The Group classifies its financial assets into the following credit grades:

- *High grade* – This pertains to accounts with a very low probability of default as demonstrated by the debtor's long history of stability, profitability and diversity. The debtor has the ability to raise substantial amounts of funds through the public markets or external financing. The debtor has a strong debt service record and a moderate use of leverage.



- *Medium grade* – The debtor has no history of default. The debtor has sufficient liquidity to fully service its debt over the medium term. The debtor has adequate capital to readily absorb any potential losses from its operations and any reasonably foreseeable contingencies. The debtor reported profitable operations for at least the past three years.
- *Low grade* – The borrower is expected to be able to adjust to the cyclical downturns in its operations. Any prolonged adverse economic conditions would however ostensibly create profitability and liquidity issues. Operating performance could be marginal or on the decline. The borrower may have a history of default in interest but must have regularized its service record to date. The use of leverage is above industry standards but has contributed to shareholder value.

As at the end of each reporting period, the credit quality of the Group's cash and cash equivalents, investment in money market funds, investment in debt securities and security were determined to be high grade and are in stage 1 of the ECL model.

The credit quality of financial assets is managed by the Group by limiting its counterparties to top-tier corporate institutions including financial institutions which are regulated entities under the BSP or Philippine SEC.

Cash and cash equivalents, investment in money market funds and investment in debt securities are considered as high-grade credit as these are placements and deposits with top-tier Philippine banks and investment in debt securities issued by the Bureau of Treasury (BTr) of the Republic of the Philippines. These are considered to be low credit risk investments.

For trade receivables, an impairment analysis is performed at each reporting date using a provision matrix to measure ECLs. The provision rates are based on days past due. The calculation reflects the probability-weighted outcome, the time value of money and reasonable and supportable information that is available at the reporting date about past events, current conditions and forecasts of future economic conditions. The maximum exposure to credit risk at the reporting date is the carrying value of each class of financial assets disclosed in Note 5.

Set out below is the information about the credit risk exposure on the Group's trade receivables using a provision matrix:

2023						
	Current	Less than 30 days	31 to 60 days	61 to 90 days	Over 90 days	Total
Expected credit loss rate	0.33%	4.10%	6.60%	12.76%	16.15%	
Estimated total gross carrying amount at default	₱89,355,466	₱11,539,548	₱1,504,717	₱1,463,253	₱1,313,023	₱104,679,546
Expected credit loss	298,185	473,661	99,265	186,689	212,022	1,269,822
2022						
	Current	Less than 30 days	31 to 60 days	61 to 90 days	Over 90 days	Total
Expected credit loss rate	0.44%	5.87%	12.56%	24.45%	23.66%	
Estimated total gross carrying amount at default	₱103,625,917	₱2,674,304	₱3,987,598	₱3,688,171	₱1,491,308	₱115,467,297
Expected credit loss	457,900	156,907	500,974	901,763	352,839	2,370,385



Liquidity Risk

Liquidity risk is the risk of loss (financial and nonfinancial) arising from the Group being unable to settle an obligation for full value when due.

The Group faces very little liquidity risk. It arises from the related credit risk that it is exposed to when awaiting the payment of fees from participants or depositing its cash surplus with bank counterparties.

To mitigate this risk, management prepares a forecast of the business cash flows for the year. Constant monitoring and a well-defined billing and collection policy facilitate management of projected inflows. It is the Group's policy to invest excess cash and cash equivalents in liquid and non-speculative financial instruments, such as term deposits and government securities, taking into account the evolution of working cash needs and capital expenditure needs.

The Group's exposure to liquidity risk is maintained at a minimum since the level of cash and receivables is sufficient to fund its accrued expenses and other payables to third parties that are payable on demand.

Market Risk

Market risk is the uncertainty about the value of assets and liabilities and of the future earnings (linked to foreign exchange and interest rate movements). PDS does not have regulatory capital requirements for market risk.

Foreign currency risk

Foreign currency risk is the risk to earnings or capital arising from changes in foreign exchange rates. The Group is exposed to foreign currency risk because of its foreign-currency denominated cash, receivables and accrued expenses (arising mainly from US dollar-denominated annual maintenance fees and other system development – related fees payable to a system provider).

The risk is partially mitigated by the Group's US dollar-denominated revenues. The residual foreign exchange risk exposure is manageable to the extent that both foreign exchange outflows for payments and inflows from maintenance fees are relatively pre-determined and fixed for the year. To manage the adverse impact of changes in the foreign exchange rates on the fees, the Group may also enter into foreign exchange forward contracts. The Group currently has no outstanding foreign exchange forward contracts.

The table below summarizes the Group's exposure to foreign currency risk as of December 31, 2023 and 2022. Included in the table are the Group's assets and liabilities at carrying amounts categorized by currency.

	2023		2022	
	USD	Php Equivalent	USD	Php Equivalent
Assets				
Cash in banks	\$651,566	₱36,077,222	\$576,484	₱32,022,453
Trade and other receivables	56,533	3,130,216	71,618	3,993,082
Liabilities				
Accrued expenses and other payables	10,443	578,423	10,371	578,423



The following table demonstrates the sensitivity to a reasonably possible change in the Peso (Php)/US dollar (USD) exchange rate, with all other variables held constant, of the Group's income before income tax due to revaluation of monetary assets and liabilities. There is no impact on equity other than those already affecting income before income tax.

	Increase (Decrease) in Php/USD exchange rate	Effect on Income Before Income Tax
2023	1.00	₱697,656
	(1.00)	(697,656)
2022	1.00	₱637,731
	(1.00)	(637,731)

The decrease in Php/USD exchange rate means stronger Php against the USD while an increase in Php/USD rate means weaker Php against the USD.

Capital Management

The Group's capital is composed of its paid-up common stock and retained earnings, which amounted to ₱1.24 billion as of December 31, 2023 and 2022.

The Group's capital management activities seek to ensure that it maintains a healthy capital ratio in order to support its businesses and maximize shareholder value by optimizing the level and mix of its capital resources. Decisions on the allocation of capital resources are being performed as part of the strategic planning review.

The Group manages its capital structure and makes adjustments to it, in light of changes in economic conditions. To maintain or adjust the capital structure, the Group may adjust the dividend payment to shareholders, return capital to shareholders or issue new shares. No changes were made in the objectives, policies or processes during the years ended December 31, 2023 and 2022.

The Group's objective is to ensure that there are no known events that may trigger direct or contingent financial obligation that is material to the Group, including default or acceleration of an obligation.

The Parent Company, PDEX and PSSC are not subject to externally imposed capital requirements.

Regulatory Capital – PDTC

Under existing BSP regulations, the determination of PDTC's compliance with regulatory requirements and ratios is based on the amount of PDTC's unimpaired capital reported to the BSP, determined on the basis of regulatory accounting policies, which differ from PFRS in some aspects.

On January 15, 2013, the BSP issued Circular No. 781 for the implementing guidelines on the revised risk-based capital adequacy framework particularly on the minimum capital and disclosure requirements for the Philippine banking system in accordance with the Basel III standards.

Quasi-banks (QBs) that are not subsidiaries of universal banks and commercial banks shall be subject to risk-based capital adequacy ratios (CAR). The CAR of quasi-banks, expressed as a percentage of a qualifying capital to risk weighted assets, shall not be less than ten percent (10%). This circular became effective beginning January 1, 2014.



PDTC's regulatory capital includes Tier 1 (core) capital, which comprises share capital and retained earnings including current year profit less required deductions such as deferred income tax and unsecured credit accommodations to DOSRI. The other component of regulatory capital is Tier 2 (supplementary) capital, which includes, among others, general loan loss provision. The risk-based capital ratio of PDTC is expressed as a percentage of qualifying capital to risk-weighted assets, which are computed based on BSP regulations.

Regulatory Qualifying Capital

Shown below are PDTC's minimum capital-to-risk assets ratios as reported to the BSP as of December 31, 2023 and 2022.

	2023	2022
Tier 1 Capital	₱828,772,654	₱816,182,523
Tier 2 Capital	—	—
Gross qualifying capital	828,772,654	816,182,523
Less: required deductions	500,000	500,000
Total Qualifying Capital	₱828,272,654	₱815,682,523
Risk Weighted Assets	₱1,972,691,358	₱2,116,460,524
Risk-based capital adequacy ratio	41.99%	38.54%

PDTC is required to maintain capital amounting to at least ₱300.00 million. As of December 31, 2023 and 2022, PDTC is in compliance with regulatory capital requirements.

Minimum Liquidity Ratio (MLR)

BSP Circular No. 1035 provides the implementing guidelines on MLR and disclosure standards that are consistent with the Basel III Liquidity Coverage Ratio Framework. The 20% MLR aims to ensure that stand-alone QBs set aside a liquidity buffer that will enable them to withstand liquidity stress events. MLR is expressed as a percentage of a QB's eligible liquid assets to its qualifying liabilities. As of December 31, 2023 and 2022, the MLR was at 586.22% and 541.12%, respectively.

25. Notes to Statements of Cash Flows

Financing activity

The table below provides for the changes in liability arising from financing activities in 2023 and 2022:

	Dividends payable	Lease liabilities	Total liabilities from financing activities
2023			
Balance at beginning of the year	₱74,878,917	₱41,025,482	₱115,904,399
Additions (i.e., dividends declared, new leases)	357,788,355	555,882	357,128,773
Accretion of interest	—	2,451,735	2,451,735
Payments during the year	(350,806,680)	(24,981,312)	(375,787,992)
Other adjustments	—	(1,238,126)	(1,238,126)
Balance at end of the year	₱81,860,592	₱17,813,661	₱99,674,253



2022	Dividends payable	Lease liabilities	Total liabilities from financing activities
Balance at beginning of the year	₱60,528,206	₱39,564,136	₱100,092,342
Additions (i.e., dividends declared, new leases)	357,916,251	23,289,505	381,205,756
Accretion of interest	—	3,468,052	3,468,052
Payments during the year	(343,565,540)	(25,116,747)	(368,682,287)
Other adjustment	—	(179,464)	(179,464)
Balance at end of the year	₱74,878,917	₱41,025,482	₱115,904,399

Non-cash additions to Property, plant, and equipment

The Group has additions to ROU amounting to ₱0.56 million and ₱23.29 million in 2023 and 2022, respectively, representing additions to lease liabilities for lease arrangements during the year, which are treated as non-cash in the statements of cash flow (see Note 10)

In 2021, the Group has acquisitions of office equipment and services amounting to ₱49.13 million, with remaining unpaid balance as of December 31, 2021 of ₱11.11 million. The unpaid balance was settled in March 2022 (see Note 10).

26. Commitments, Contingencies and Others

The following are the significant commitments and contingencies involving the Company:

Security deposits

In connection with the above lease agreements, the Group paid refundable security deposits which are presented in the consolidated statements of financial position as follows:

	2023	2022
Other current assets (Note 8)	₱3,655,876	₱2,298,991
Noncurrent assets (Note 11)	4,065,444	5,808,980
	₱7,721,320	₱8,107,971

Maintenance of the Integrated System

In accordance with the Memorandum of Agreement (MOA) entered by PDTC on September 2, 2004 and renewed in January 2023 with a system provider, PDTC is committed to pay \$0.39 million annually for the maintenance of its integrated system until 2024.

Litigation and Tax Assessments

The Parent Company and its subsidiaries are among the named respondents in an antimonopoly case filed by various petitioners with the Supreme Court on August 22, 2013.

The Petition likewise impleaded Government entities – the Philippine Securities and Exchange Commission (“SEC”), the Bangko Sentral ng Pilipinas (“BSP”), the Secretary of Finance, and the National Treasurer. It also impleaded the Bankers’ Association of the Philippines (BAP) and Vicente B. Castillo.

The Petition alleges there was “grave abuse of discretion” and seeks to render null and void government issuances that supposedly enabled the PDS Group to operate as a Fixed Income Exchange for fixed income instruments and government securities, as well as act as the Self-Regulatory Organization (SRO) for the OTC market. It questions the OTC trading of government securities passing through PDS Group’s trading system and the collection of fees and charges.



The Petition included an application for a Temporary Restraining Order, which was never issued.

The Petition does not seek to hold the Respondents or any of the individual officers of the PDS Group liable for damages.

The different respondents, including the Government agencies and officers, filed their respective Comment to the Petition in late 2013 and early 2014. All the Respondents deny that there was “grave abuse of discretion” and ask that the petition be rejected.

In June 2014, the petitioners filed a Consolidated Reply in response to all of the Comments by the respondents.

In a Resolution dated March 3, 2020, the Supreme Court required the parties to “move in the premises” – or to inform the Honorable Court of developments that may be pertinent to the case for its disposition.

The petitioner, the Government agencies and offices, the Parent Company and its subsidiaries and Mr. Vicente Castillo have filed their respective submission in compliance with the Supreme Court’s directive.

The Honorable Court, in general, may (a) require the parties to submit further pleadings, (b) set the case for oral arguments, or (c) resolve the Petition.

The BAP for itself and on behalf of its member banks as well as the Parent Company and its subsidiaries have signed a memorandum letter addressed to the Petitioners to adopt a roadmap that all OTC secondary market trading of government securities will cease to use the PDS Group infrastructure, primarily aiming to address and settle the main legal issues raised by the Petitioners in the subject case.

The final terms of the actual agreement are subject to further agreement by the parties, the BAP, the Parent Company and its subsidiaries, the Public Respondents and the approval of the Supreme Court.

On August 23, 2022, the PDS Group received the decision dated March 29, 2022 promulgated by the Supreme Court En Banc dismissing the petition for the petitioners’ lack of legal standings and violation of constitutional filtering mechanism of hierarchy of courts.

On July 31, 2023, the PDS Group received an Entry of Judgement dated September 13, 2022 certifying that the decision dated March 29, 2022 dismissing the petition has become final and executory on September 13, 2022 and it is recorded in the Books of Entries of Judgements.

Tax Assessments

PDSHC

On September 5, 2016, the Company received a Final Assessment Notice (FAN) from the BIR for the taxable year 2011 relating to deficiency income tax and value added tax with total assessment value of ₱14.16 million (inclusive of interest, penalty and surcharges). The Company submitted the supporting documents to its letter of protest (i.e., request for reinvestigation) on December 1, 2016. The Company is awaiting final assessment from the BIR and has the option to elevate the case to the CTA 30 days upon receipt of final assessment from the BIR.



PDEx

On July 17, 2020, the Company received a FAN from the BIR for taxable year 2016 relating to deficiency income tax, value added tax and withholding taxes with total assessment value of ₱72.09 million (inclusive of interest, penalty and surcharges). The Company submitted the supporting documents to its letter of protest (i.e. request for reinvestigation) on October 13, 2020.

On February 28, 2022, the Company received the BIR's Final Decision on Disputed Assessment (FDDA) assessing the Company for deficiency taxes for the above mentioned FAN for the taxable year 2016 in the total amount of ₱23.85 million inclusive of interest, penalty and surcharges). The Company appealed the FDDA by filing its Petition for Review with the Court of Tax Appeals (CTA) on March 28, 2022. On September 9, 2022, while the CTA case is ongoing, the Company filed before the Large Taxpayers Collection and Enforcement Division (LTCED) its Application for Legal Compromise Settlement (Application) for its 2016 tax assessment and paid compromised settlement amounting to ₱6.56 million. As of February 29, 2024, the Application is still under review and for endorsement by the Assistant Commissioner on Internal Revenue, Enforcement and Advocacy Service.

PSSC*

On April 21, 2014, the Company received a FAN from the BIR for the taxable year 2010 relating to deficiency of income tax and withholding taxes with total assessment value of ₱6.77 million. The Company submitted the supporting documents to its letter of protest (i.e., request for reinvestigation) on July 21, 2014.

On April 28, 2015, the Company received the BIR's Final Decision on Disputed Assessment (FDDA) assessing the Company for deficiency taxes for the above-mentioned FAN for the taxable year 2010 in the total amount of ₱7.60 million (inclusive of interest, penalty and surcharges). The Company appealed the FDDA by filing its Petition for Review with the CTA on May 28, 2015.

On October 29, 2021, the Company filed before Revenue Region No. 8A its Application for Legal Compromise Settlement ("Application") and paid compromised settlement amounting to ₱2.42 million.

On May 31, 2022, PSSC and BIR filed for the Joint Compromise Agreement and Joint Motion to Render Judgement on July 1, 2022.

On May 23, 2023, the CTA En Banc denied PSSC's Motion for Reconsideration. On July 17, 2023, PSSC filed a Petition for Review on Certiorari at the Supreme Court.

As of February 29, 2024, the Company is awaiting the Supreme Court decision.

Except for the matters discussed above, the Company has no outstanding tax cases and assessments with the BIR.

**Effective August 2022, Philippine Securities Settlement Corp (PSSC) was merged with PDEx*



27. Securities Held in Trust and Other Off-Balance Sheet Items

As PDTC and PCNC are engaged in the business of acting as a custodian and/or an intermediary of its participants of any financial instrument, there are various assets and liabilities that are not reflected in the accompanying financial statements. The following is the summary of off-balance sheet items:

	2023	2022
Cash	₱118,378,318	₱54,022,310
Due to trading participants	109,455,414	45,215,597
Accounts payable - interest income (net of final tax)	8,922,904	8,806,713

Assets

Cash arises from cash dividends received from the issuers of stock to be distributed to trading participants, value of stock rights, advance payments for conversion of shares to certificates and coupon payments to registry clients. These pertain to accounts that are beyond the reach of PDTC and PCNC and cannot be used for their own purpose.

Liabilities

Due to trading participants represents cash dividends for distribution to trading participants and coupon payments to registry clients.

Accounts payable - interest income (net of final tax) represents interest after expenses arising from bank accounts maintained on behalf of the trading participants.

Securities Held in Trust on Behalf of Trading Participants and/or Beneficial Owners

As of December 31, 2023 and 2022, the market value of securities transferred to and held on behalf of trading participants and/or beneficial owners by PCNC amounted to ₱5.59 trillion and ₱5.61 trillion, respectively.

28. Subsequent Events

On February 29, 2024, the BOD of PDSHC and PDTC approved and authorized the declaration of cash dividends amounting to ₱300.00 million and ₱307.00 million, respectively, to stockholders on record as of December 31, 2023.

